

SIKIA
Low

The Law of Insurance

INSURANCE LAW

Formation of Insurance Contracts:

Topic 1:

1. Explain the meaning of Insurance

Read **Department of Trade and Industry v St. Christopher Motorists Association [1974] 1 All ER 395** on the challenge of formulating a legal definition of insurance.

Also see **Medical Defence Union v Department of Trade [1979] 2 All ER 421 at 429**

“A contract for insurance is any contract whereby one party assumes the risk of an uncertain event, which is not within his control, happening at a future time, in which the other party has an interest, and under which contract the first party is bound to pay money or provide its equivalent if the uncertain event occurs.” – John Birds, Modern Law of Insurance at pg. 11.

In **Prudential Insurance Co. v. Inland Revenue Commissioners [1904] 2 K. B. 658 at 664**, Channell J stated that “a contract of insurance must be a contract for the payment of a sum of money, or for some corresponding benefit to become due on the happening of an event, which event must be of a character more or less adverse to the interest of the person effecting the insurance.”

In this case, a one W. R. Aucutt took out a policy for W. Aucutt his son: the company agreed that in consideration for a weekly premium to be paid to them by the assured until he should turn 65, the company would pay 95/ and if he died before that age, they would pay to his executors or administrators the sum of 30/. The instrument provided that after it had been in force for five years, the company would, in exchange for the same, grant certain pecuniary benefits specified in a schedule thereto – corresponding with the age of the assured and the duration of the policy.

The case explains the difference between life insurance policies and endowment assurances: “Many kinds of

instruments purporting to be policies of assurance are now issued by life assurance companies under which sums are contracted to be paid, either **(a) at a particular period or on the previous death of the assured** or **(b) on the assured attaining a particular age or on the previous death of the assured (in each of these cases, where the same amount of money is payable in either event, according to the practice of the Commissioners life policy duty is charged)**; and in the case of some instruments sums are thereby contracted to be paid at the expiration of a particular period, if the assured is living, and a further sum at death.”

The question to be determined was whether the instrument in this case was a policy of insurance upon any life or upon any event or contingency relating to or depending upon any life or lives.

“It must be a contract whereby for some consideration, usually but not necessarily for periodical payments called premiums, you secure to yourself some benefit, usually but not necessarily the payment of a sum of money, upon the happening of some event. Then the next thing that is necessary is that the event should be one which involves some amount of uncertainty. There must be either uncertainty whether the event will ever happen or not, or if the event is one which must happen at some time there must be uncertainty as to the time at which it will happen. The remaining essential is that which was referred to by the Attorney-General when he said the insurance must be against something. A contract which would otherwise be a mere wager may become an insurance by reason of the assured having an interest in the subject-matter - that is to say, the uncertain event which is necessary to make the contract amount to an insurance must be an event which is prima facie adverse to the interest of the assured.”

The insurance is to provide for the payment of a sum of money to meet a loss or detriment which will or may be suffered upon the happening of the event.

Court found that in this case, even if the endowment portion of the policy stood alone – and if the contract purported to be nothing more than a provision against old age, it would still be a policy of insurance and if a policy of insurance, then also a policy of life insurance – as it would be an insurance upon a contingency relating to life.

Life Insurance: "The contract commonly called 'life assurance,' when properly considered, is a mere contract to pay a certain sum of money on the death of a person, in consideration of the due payment of a certain annuity for his life, - the amount of the annuity being calculated, in the first instance, according to the probable duration of the life; and when once fixed it is constant and invariable." - **Dalby v. India and London Life Assurance Co. (1854) 15 C. B. 365, 387.**

"A contract of life insurance is one by which persons entitle their executors to receive a sum of money for distribution among their family in the event of their death." – **Prudential Insurance Co. v. Inland Revenue Commissioners [1904] 2 K. B. 658 at 664.**

Carter v Boehm (1766) 3 Burr 1905: The action was on a policy of insurance for one year, viz, from 16 October 1759, to 16 October 1760, for the benefit of the governor of Fort Marlborough – George Carter, against the loss of Fort Marlborough in the island of Sumatra in the East Indies, by its being taken by foreign enemy. The fort was taken in fact by the French within the year. The first witness was Cawthorne, the policy-broker, who produced the memorandum given by the plaintiff to him and the use made of these instructions to show that the insurance was made "for the benefit of Governor Carter, and to insure him against the taking of the fort by a foreign enemy.

The defendants contended that the plaintiff was guilty of fraud – because he concealed circumstances which ought to have been disclosed i.e., the weakness of the Fort and the probability that it would be attacked by the French.

Lord Mansfield examined concealments that avoid a policy: "... **Insurance is a contract upon speculation. The special facts upon which the contingent chance is to be computed lie most commonly in the knowledge of the insured only. The**

underwriter trusts to his representation and proceeds upon the confidence that he does not keep back any circumstance in his knowledge to misled the underwriter into a belief that the circumstance does not exist, and to induce him to estimate the risk as if it did not exist. Keeping back such a circumstance is a fraud – and therefore the policy is void. Although the suppression should happen through mistake without any fraudulent intention, yet still the underwriter is deceived, and the policy is void, because the risk run is really different from the risk understood and intended to be run at the time of the agreement. The policy would equally be void, against the underwriter if he concealed, as if he insured a ship on her voyage which he privately knew to be arrived, and an action would lie to recover the premium.”

“Good faith forbids either party, by concealing what he privately knows, to draw the other into a bargain from his ignorance of that fact and his believing the contrary. But either party may be innocently silent, as to grounds open to both, to exercise their judgment upon. *Aliud est celare; aliud, tacere; neque enim id est celare quicquid reticeas; sed cum quod tuscias, id ignorare emolumenti tui causa velis eos, quorum intersit id scire: CICERO, DE OFF, lib 3, c 12, 13.* This definition of concealment, restrained to the efficient motives and precise subject of any contract, will generally hold to make it void in favour of the party misled by his ignorance of the thing concealed.”

Lord Mansfield noted, however, that there are matters as to which the insured may be innocently silent – he need not mention what the underwriter knows and an underwriter cannot insist that the policy is void because the insured did not tell him what he actually knew.

“The reason of the rule which obliges parties to disclose is to prevent fraud and to encourage good faith. It is adapted to such facts as vary the nature of the contract which one privately knows, and the other is ignorant of and has no reason to suspect. The question, therefore, must always be whether there was, under all the circumstances at the time the policy was underwritten, a fair representation or a concealment, fraudulent if designed, or, though

not designed, varying materially the object of the policy, and changing the risk understood to be run.”

In the instant case, court found that the condition, state and strength Fort Marlborough was ‘in general well known by most persons conversant or acquainted with Indian affairs or the state of the company's factories or settlements, and could not be kept secret or concealed from persons who should endeavor by proper inquiry to inform themselves.’ There would not be a re-trial.

Aqua Plumbing (U) Limited v United Assurance Company Limited, Civil Suit 431 of 2002: The plaintiff sued the defendant for breach of insurance contract for a vehicle that got into an accident, and prayed for compensation, general damages with interest and costs. The defendant, on the other hand, denied that there was ever an insurance policy and prayed that the court dismiss the court.

The issue in the case was whether at the time of the accident, the vehicle had comprehensive motor vehicle insurance covering it (and of course, remedies).

The plaintiff had taken out a policy from 14th March 2000 to 13th March 2001 – paying a premium of 658,000/= and on 13th March, 2001 – the defendant sent the plaintiff a renewal notice. The plaintiff responded and the defendant sent him a third-party insurance receipt showing that the policy could be used to cover the vehicle comprehensively, because it cited the plaintiff’s initial comprehensive insurance policy and the old premium was payable. The plaintiff, however, did not pay the premium for the renewal of the policy for its vehicle until May 9th 2002. In the meantime, the vehicle had a serious accident and was written off.

The plaintiff sought to recover the pre-accident value of the vehicle – which the defendant refused to compensate.

Court differentiated between a comprehensive motor vehicle insurance policy:

- i. **A comprehensive motor vehicle insurance policy”** as the name suggests is a motor vehicle insurance policy that covers the insured in respect of a wide range of risks his/her motor vehicle may face as it plies the roads. For

example, the motor vehicle in question may be damaged on the road. It may cause damage to other motor vehicles or property as it runs on the road. It may cause death or personal injuries to individuals, etc. A comprehensive motor insurance policy covers the insured against all such risks; and the insurer is under obligation to indemnify the insured when they occur.

- ii. **‘A Third-Party motor vehicle insurance policy’** (in Uganda) covers the insured only in respect of death or personal injury occasioned to a third party as a result of an accident which the motor vehicle of the insured causes. It does not cover the insured in respect of damage to his/her motor vehicle sustained on the road or, damage his/her motor vehicle may cause to any other motor vehicle or property – **section 3(b) of the Motor Vehicle Insurance (Third Party Risks) Act, Cap 214.**

Although these policies are different, generally when one takes out comprehensive motor insurance policy, it means that one's insurance cover includes a third-party motor vehicle insurance policy. Under **section 2(1) of the Motor Vehicle Insurance (Third Party Risks) Act (Cap. 214)**, all motor vehicle owners are under a legal obligation to take out a Third Party motor vehicle insurance policy if they are to use their motor vehicles lawfully on the roads. However, those motor vehicle owners are under no legal obligation to take out a comprehensive motor insurance policy in respect of their motor vehicles. The effect of this, therefore, is that many motor vehicle owners fulfill their legal obligation by taking out a Third Party motor vehicle insurance policy in respect of their motor vehicles, but they deliberately avoid obtaining comprehensive cover for their motor vehicles because it is expensive to do so.

“Where the insurer and the insured have agreed that the insurer would cover a given risk for a specific period, there exists a contract of insurance between the two parties for the period agreed upon. Where the agreed period of cover expires and the contract insurance is not renewed, it is obvious that the validity of such contract ceases – **Brown v Graham (1963) SR NSW**

365. However, where the contract is renewed, the renewal becomes a fresh contract of insurance - **Hanley v Pacific Fire &**

Marine Insurance Company (1893) 14 LR (NSW) 224; Re Kerr (1943) SASR 8; and Stockell v Heywood (1897) 1. Ch. 459).

“The new contract begins from the day of renewal and runs until the agreed day of expiry. It follows, therefore, that the risk occurring in the interim period, that is to say between the expiry of the policy and the renewal thereof is not covered. To purport to say that such risk was covered under the renewed policy would, in Court’s opinion, go against the basic principle of insurance, which is to cover an uncertain future risk and not a past event.” In this case, the plaintiff could not make a claim basing on a policy that was not in existence at the time of the accident. Suit dismissed.

Requirements for existence of a valid insurance contract:

- a. A binding contract:** the insurer must be legally bound to compensate the other party.

It is not enough that there is a right to be considered for a benefit – **Medical Defence Union v Department of Trade:** the plaintiff was a company whose members were practicing doctors and dentists. Its business primarily consisted of conducting legal proceedings against claims made against members for damages and costs.

However, under the plaintiff’s constitution, the members had no right to such benefits, merely the right to request for assistance or an indemnity.

It was held that the company was not carrying on insurance business. To be a contract of insurance, a contract must provide for the right of the insured to money, or money’s worth on the happening of the uncertain event. The right to request for assistance was no such right.

- b. Uncertainty:** this is a necessary feature of insurance and lies as to whether the event insured against will occur. In life insurance, it is as to the time when it will occur.

Read **Gould v Curtis [1913] 3 KB 84.** (This case discusses life insurance and endowment policies)

The respondent held a policy under which an insurance company covenanted with him that if he should die before March 1, 1923, they will pay 100l. on his death, or if he should be living on that day they would at that date pay him 200l. The annual premium was 11l. 11s. 8d. The question was whether he was entitled to have an allowance by way of deduction of that annual premium under s. 54 of the Income Tax Act, 1853.

In this case, it was argued that the contract in dispute was not a contract of insurance because life is not an event that can fairly be said to be adverse to the interests of the insurer. Court held that it is not true to say that there can be no insurance except the event covered by the contract is one which is in its nature adverse to the assured.

Buckley, LJ on Uncertainty: "I wish to add a word as to something which was said by Channell J. in the case of *Prudential Insurance Co. v. Inland Revenue Commissioners*. (1) The particular words to which I venture to take exception are these, at p. 664: "which event must have some amount of uncertainty about it, and must be of a character more or less adverse to the interest of the person effecting the insurance." The learned judge was using those words in connection with a policy of life insurance, and he gave a reason there why he thought there was in that case an adverse risk." **"If the policy be one such as a fire policy, or a marine policy upon a vessel, it is a policy of indemnity, an obligation to indemnify. In insurances of that class, I agree that what you look at is to see whether there has occurred an event adverse to the person who is insured, such as that, having suffered a loss by reason of that adverse event, he is to be indemnified by the sum which is guaranteed to him under the policy.** The same is not true of a policy of life insurance. A policy of life insurance is not a policy of indemnity, but is a policy upon a contingency. Death cannot for this purpose be appropriately described as an adverse event. It is an event which some people regard as adverse, and some

do not. But for this particular purpose it is not adverse, for it is not in the sense that it occasions pecuniary loss, which is what is meant in the case of a fire or marine policy. The obligation in a policy of life insurance is not based upon any doctrine of compensating the person for the event. Money is no compensation for death. An insurance upon life is the creation in favour of a person who has an insurable interest of an obligation to pay money in an event, namely, the contingency of human life. Whether the contingency be the continuance of life at a date or whether it be death, in both cases it seems to me that it is included within the expression "insurance on life" contained in s. 54."

- c. Insurable Interest:** the insured must have an insurable interest in the property or life or liability which is the subject of the insurance.

Macaura v Northern Assurance Co. Ltd. [1925] All ER Rep 51: This case establishes the principle that a shareholder has no insurable interest in the assets of a company. A shareholder in a company owning timber was owed a large sum of money by the company, and he insured the timber against loss.

A fire occurred and he claimed from the insurers, but they repudiated liability on the ground that he had no insurable interest in the subject matter.

Lord Sumner reasoned that the appellant had no insurable interest in the timber – it belonged to the company, Irish Canadian Sawmill Co. Limited of Skibbereen. The appellant had no security or lien over it, and although it lay on his land by his permission – he had no responsibility to its owner for its safety, nor was he under any contract that enabled him to hold it for his debt.

He owned almost all the shares in the company, and the company owed him a great deal of money but neither as a creditor nor as a shareholder could he insure the company's assets. The debt was not exposed to fire, neither were the shares – and the fact that he was the company's only creditor, while the timber was its only asset, seemed to make no difference. He stood in no

‘legal or equitable relation to’ the timber at all. He had no ‘concern in’ the subject insured. His relation was to the company, not to its goods, and after the fire he was directly prejudiced by the paucity of the company’s assets, not by the fire.

- d. **Control:** it is essential that the event insured against is outside the control of the party assuming the risk. Read **St. Christopher & Medical Defence Union**: “from *Gould v. Curtis*, especially the judgment of Buckley L.J. at p. 95, and from **West Wake Price & Co. v. Ching [1957] 1 W.L.R. 45, 51**, it appears that there are two categories of insurance which may respectively be called indemnity insurance and contingency insurance. Indemnity insurance provides an indemnity against loss, as in a fire policy or a marine policy on a vessel. Within the limits of the policy the measure of the loss is the measure of the payment. Contingency insurance provides no indemnity but instead a payment upon a contingent event, as in a life policy or a personal injury policy. The sum to be paid is not measured by the loss but is stated in the policy. The contractual sum is paid if the life ends or the limb is lost, irrespective of the value of the life or the limb. With these two categories of insurance in mind, the three elements in a contract of insurance may be expressed as follows: and in this I draw largely on what Channell J. said in the *Prudential* case [1904] 2 K.B. 658, 663. **First, the contract must provide that the assured will become entitled to something on the occurrence of some event.** This, of course, is the disputed element, and the dispute is about what the “something” is...**Second, the event must be one which involves some element of uncertainty...** Third, **the assured must have an insurable interest in the subject matter of the contract.”**

· Hellner, “The Scope of Insurance Regulation: What is Insurance for Purposes of Regulation?” (1963) 12 Am.

J. Comp. L. 494 at 505.

- e. **Provision of money’s worth:** the provision of something other than money is enough, provided that it is of money’s worth – **Department of Trade & Industry**

v St. Christopher's Motorists' Association Limited: the defendant undertook to provide its members with chauffeur services should they be disqualified from driving due to being convicted of DUI. Court held that this constituted insurance and the fact that the benefits were not in money was irrelevant.

Medical Defence Union v Department of Trade emphasizes that provision of services is not enough – there must be something that is clearly worth money, whether such is a right to valuable services, a right to advice – or a right to have an item of property repaired or replaced.

f. **Other Requirements:**

Decisions including **Hampton v Toxteth Cooperative Society [1915] 1 Ch 721; Hall D'Ath v British Provident Association (1932) 48 TLR 240** “appear to suggest” that there can be no insurance business carried out in the absence of a clearly stipulated premium and policy.

2. Discuss the relationship between insurance law and contract law.

Formation of the contract

Formation and formalities of an insurance contract are not governed by explicit rules of law. In practice, however, there are two standard ways for the initial agreement to enter into an insurance contract.

Offer and acceptance

First, this can be done through completion of a proposal form – which is a standard form produced by the insurers.

The other way involves the proposer (or an intermediary such as a broker) using some other document. This is usually referred to as an insurance slip.

Once the contract is accepted, there is a binding contract – even though a formal policy may not have yet been issued, provided that all material terms are accepted – *Adie & Sons v Insurances Corp'n* (1898) 14 TLR 544. These material terms are the amount and subject matter of the insurance and the commencement and duration of the risk. In most cases these

matters will be evident from the proposal form and the surrounding circumstances. In addition, the premium must be quantified. See *Alliss-Chalmers Co v Fidelity and Deposit Co of Maryland* (1916) 114 LT 433.

The insured is regarded as applying for the ordinary form of policy issued by the insurers – *General Accident Insurance Corporation v Cronk* (1901) 17 TLR 233.

If the insurers do not unequivocally accept the insured's proposal, but their acceptance is qualified by subsection to the payment of a payment or the issue of a policy, this constitutes a fresh offer by the insurer – which the insured must accept before a binding contract comes into existence: It may even be only an invitation to treat, so that the proposer must make a new offer on this basis: *Locker v Law Union and Rock Insurance Co Ltd* [1928] 1 KB 554.

Form of the contract

Even as there is no general requirement for an insurance contract to be in writing, it is important to note that the general principles of contract law still apply to contracts of insurance. Oral contracts of insurance can be effective at common law, provided that an agreement on the material terms can be proved - *Murfit v Royal Insurance Co.* (1922) 38 TLR 334.

In practice, contracts must be in writing – as the Contracts Act requires that contracts of guarantee or indemnity have to be in writing – section 10(6) of the contracts Act. “Indemnity” is defined as an undertaking whereby a person agrees to reimburse another on the occurrence of an anticipated loss.

Consideration

The consideration given by the insured in return for the insurer's undertaking to cover the risks insured against is called the premium - *Lewis v Norwich Union Fire Insurance Co* [1916] AC 509.

3. Discuss the difference between an insurance contract and other types of indemnity contracts.

Topic 2:

1. Discuss the key elements of an insurance contract.

An insurance contract is one under which one party (the insurer) in exchange for a premium – agrees with another party (the policy holder) to make a payment or provide a benefit to the policy holder or another person on the occurrence of a specified uncertain event which – if it occurs – would be adverse to the interests of the person who will receive the payment or benefit – **The Insurance Act, 2017: Section 2.**

Elements of an insurance contract:

- (a) a binding contract – the insurer has to be legally bound to compensate the assured.

Medical Defence Union v Department of Trade [1979] 1 Lloyd's Rep 499

- (b) uncertainty as to whether the event assured against will occur or when it will occur;

Gould v Curtis [1913] 3 KB 84

- (c) insurable interest – the insured is required to have an insurable interest in the subject matter of the insurance;

Macaura v Northern Assurance Co. Limited [1925] All ER 51

- (d) control – the event assured against must be outside the control of the party assuming the risk;

St. Christopher v Medical Defence Union (e) the provision of money, or money's worth

Department of Trade & Industry v St. Christopher's Motorists' Association Limited

The factors that influenced the development of Insurance Law in England up to 1902 become relevant for the development of insurance in Uganda at the commencement.

The concept of insurance arose out of the mercantile practice of transporting goods across the sea – with an enormous fortune to be made if the project was successful, as contrasted with the disastrous loss if the project foundered amid the perils of the seas. Accordingly, the common law of insurance developed in the first instance through decisions on marine insurance. Non-marine insurance made its first appearance in the form of life and fire insurance, and these three types of insurance formed the whole range of insurance until the 19th Century – 8 *Holdsworth's History of English Law* (2nd Edn) 294 *et seq.*

Why do we have the law as we have it? What are the interests this law promotes/protects?

Demonstrate the key developments and explain why they occurred.

Insurance developed as a mechanism of spreading risk across a larger pool of risk-bearers.

- Factors that informed the change in regulation
 - What is the present form of regulation?
2. Judges often cite business to reach decisions in insurance, and other commercial cases. Briefly explain the business sense underlying insurance law. You should, amongst other explore the following notions: insurance being a risk management tool; the premium account being a pool to which many persons (insureds) have contributed, as security for a rainy day; and the significance of probability of perils insured against. This should help us understand why many of the principles and rules of insurance law are the way they are.
 3. Discuss the key factors that have underpinned the historical development of insurance law in Uganda?

Topic 3:

- 4. Discuss the prerequisites of a valid insurance contract.**
- 5. Discuss the principles governing formation of insurance contracts.**

Insurance is regulated by legislation, for which reason it has a statutory definition in section 2 of the Insurance Act, 2017. The general law of contract governs contracts of insurance, subject to some additional special principles applicable to insurance.

These principles are common to both marine and non-marine insurance.

Indemnity:

Modern contracts of insurance belong to the general category of contracts of indemnity: this means that the insurer's liability is limited to actual loss, which is in fact proved. Cases on this point include *Darrell v Tibbits* (1880) 5 QBD 560; *Castellain v Preston* (1883) 11 QBD 380; *Meacock v Bryant &*

Co. [1942] 2 All ER 661; Haghiran v Allied Dunbar Insurance [2001] 1 All ER (Comm) 97, CA.

This means that the occurrence of the event does not of itself entitle the insured to the payment of the sum stipulated in the policy – *Dane v Mortgage Insurance Corp'n Ltd [1894] 1 QB 54 at 61, CA, per Lord Esher MR; West Wake Price & Co v Ching [1956] 3 All ER 821 at 825, [1957] 1 WLR 45 at 49 per Devlin J.*

The event must in fact result into a pecuniary loss to the insured – *Garden v Ingram (1852) 23 LJCh 478 at 479* – who then becomes entitled to be indemnified subject to the limitations of his contract – *Dalby v India and London Life Assurance Co (1854) 15 CB 365, Ex Ch.* He cannot recover more than the sum insured, for that sum is all that he has stipulated for by his premiums and it fixes the maximum liability of the insurers – *Westminster Fire Office v Glasgow Provident Investment Society (1888) 13 App Cas 699 at 711, HL, per Lord Selborne LC; cf Curtis & Sons v Mathews (1918) as reported in 35 TLR 189, CA.*

Even within that limit, he cannot recover more than what he establishes to be the actual amount of his loss – *Westminster Fire Office v Glasgow Provident Investment Society (1888) 13 App Cas 699 at 711, HL, per Lord Selborne LC; cf Curtis & Sons v Mathews (1918) as reported in 35 TLR 189, CA.*

The contract being one of indemnity, and indemnity alone, he can recover the actual amount of his loss and no more – *Castellain v Preston (1883) 11 QBD 380 at 386, CA, per Brett LJ*; whatever may have been his estimate of what his loss would likely be, and whatever the premiums he may have paid, calculated on the basis of that estimate.

In all contracts of insurance, whether marine or non-marine, which are contracts of indemnity, the insurer is entitled to be subrogated to the rights of the insured, and to a contribution from other insurers where he has paid the whole of the loss or more than his proportionate share of it.

The doctrine of subrogation:

Subrogation expresses the right of the insurer to be placed in the position of the insured so as to be entitled to the

advantage of all the rights and remedies which the insured possesses against third parties in respect of the subject matter - *Castellain v Preston* (1883) 11 QBD 380 at 388, CA, per Brett LJ.

The principle of subrogation may be illustrated as follows:

If two ships, A and B, come into collision and the collision is due to the negligence of those in charge of B, the owner of A, who has insured her, can recover the amount of his loss from the owner of B, and the owner of B cannot resist the claim on the ground that the owner of A was entitled to recover or had already recovered from his insurers. If the owner of A has recovered his loss from the owner of B, he will be compelled to account to the insurers for the money he has so received, and his claim against them will be to that extent reduced or, if he has recovered a complete indemnity, extinguished. Although he is bound to account to the insurers for the money received, he does not hold it as trustee for them: *Stearns v Village Main Reef Gold Mining Co* (1905) 10 Com Cas 89, CA, applying the principle of *Randal v Cockran* (1748) 1 Ves Sen 98. The owner of A may, however, in the first instance recover his loss from the insurers, in which case they will be subrogated to his right to recover the loss from the owner of B.

The precise nature of the third party's liability to the insured is immaterial: subrogation applies even to a statutory liability – *Ellerbeck Collieries Ltd v Cornhill Insurance Co Ltd* [1932] 1 KB 401 at 411, CA, per Scrutton LJ.

If the third parties are insured, the ultimate liability for the loss falls on their insurers – *North British and Mercantile Insurance Co v London, Liverpool and Globe Insurance Co* (1877) 5 ChD 569, CA.

The right does not arise until the insurers have admitted their liability to the insured - *Midland Insurance Co v Smith* (1881) 6 QBD 561 at 564 per Watkin Williams J; *Page v Scottish*

Insurance Corp'n Ltd (1929) 140 LT 571, CA., and have paid him all amounts due in respect of the loss – *Castellain v Preston*.

Subrogation in marine insurance:

Where the insurer pays for a total loss, either of the whole or (in the case of goods) any apportionable part of the subject matter insured, he becomes entitled to take over the interest of the assured in whatever may remain the subject matter so paid for – and he is therefore subrogated to all the rights and remedies of the assured in respect of that subject matter as from the time of the casualty causing the loss.

- Section 63(1) of the Marine Insurance Act, 1906; the insurer is not bound to take the interest over, but they have a choice whether to do so or not.

Subject to these provisions, where the insurer pays for a partial loss, he acquires no title to the subject matter insured, or such part of it as may remain – but he is thereupon subrogated to all the rights and remedies of the assured in and in respect of the subject matter insured as from the time of the peril causing the loss, insofar as the assured has been indemnified by that payment for the loss.

Therefore, when a loss happens, anything which reduces or diminishes it reduces or diminishes the amount the insurer is bound to pay; and if the insurer has already paid the full loss, then if anything which diminishes the loss afterwards comes into the hands of the assured, the insurer is entitled to be recouped to the extent of the benefit so received – *Burnand v Rodocanachi Sons & Co (1882) 7 App Cas 333 at 339, HL, per Lord Blackburn*; see also *Darrell v Tibbitts (1880) 5 QBD 560, CA*, and the judgments in *Castellain v Preston (1883) 11 QBD 380, CA* (where the principle of subrogation is explained); *H Cousins & Co Ltd v D and C Carriers Ltd [1971] 2 QB 230, [1971] 1 All ER 55, CA*.

This doctrine applies to all contracts of non-marine insurance, which are contracts of indemnity e.g., fire insurance (*Castellain v Preston [1883] 11 QBD 380*), motor insurance (*Horse, Carriage and General Insurance Co. Limited v Petch*

[1916] 33 TLR 131) and contingency insurance covering non-payment of money (*Meacock v Bryant & Co.* [1942] 2 All ER 661).

It applies, whether the loss is total, partial and is a corollary of the principle of indemnity. By requiring any means of diminishing or extinguishing a loss to be taken into account, it prevents the insured from recovering more than a full indemnity – *Castellain v Preston* (1883) 11 QBD 380 at 386, CA, per Brett LJ.

It does not apply to contracts of life insurance and personal accident insurance. See *Dalby v India & London Life Assurance Co* (1854) 15 CB 365; *Law v London Indisputable Life Policy Co* (1855) 1 K & J 223. On personal accident insurance – see Bramwell, B in *Bradburn v Great Western Rly Co* (1874) LR 10 Exch 1 at 2.

6. Explain the practical steps and documents involved in the process of formation of insurance contracts.

7. Construction of Insurance Contracts: Discuss the rules and principles of construction of insurance contracts.

1st November 2022 – Questions 4, 5 & 6

1. Discuss the prerequisites of a valid insurance contract.
2. Discuss the principles governing formation of insurance contracts.
The question is concerned with principles governing formation of a contract – not principles of insurance in general. The insurance equivalents to principles regulating contracts in general.
 - Offer: in a normal insurance contracting process, where the insurer issues a proposal form.
 - Acceptance:
 - Consideration:
 - The contract is concluded when the policy is issued. (Upon full payment of premium)
 - The intention to create legal relations
 - Certainty of terms
 - Legality of purpose
 - Utmost good faith

- Insurable interest
3. Explain the practical steps and documents involved in the process of formation of insurance contracts.

Castellain v Preston (1883) 11 QBD 380:

Plaintiff sued on behalf of an insurance company to recover money with interest. The defendants insured their buildings against loss by fire, and paid the requisite premiums until after the fire occurred.

In July 1878, the defendants sold the land and buildings to their tenants – and the contract provided that at the time of the completion (of the sale) should be within two years, chosen by the vendors. In August 1878, the buildings were partly damaged by fire, and the defendants made a claim. The amount was in fact paid by the insurers – who did not know about the existence of a contract of sale.

In March 1879, the contract was completed – and in December, the conveyance was executed and the balance of the purchase money was paid.

The plaintiff contended that a policy of fire insurance is a contract of indemnity, and the assured cannot derive a profit because the thing insured has been damaged by the peril insured against – *Darrell v Tibbitts* 5 QBD 560. Further, they contended that the insurer is entitled to every benefit whereby the loss is diminished.

The defendants were to be regarded in the same position as a ship-owner, who refuses to give up the salvage of a sunk ship to its underwriters, even when he has received the amount due – yet the assured cannot withhold the salvage from the insurer – *Arnould on Marine Insurance*, part 3, ch. 6, pp. 935, 936.

The defendants argued: indeed, a contract of insurance is, *prima facie*, a contract of indemnity, and the insurer is entitled to be subrogated into the rights of the assured which arise out of contracts entered into with respect of preservation of the subject-matter of insurance – but *Darrell v Tibbitts* 5 QBD 560 did not apply to the instant case.

The contract for sale of the house was not one with respect to its maintenance in good condition and its preservation from

destruction by fire. The defendants were unpaid vendors at the time when the loss happened, and the plaintiff's company could have had no defence to an action/claim against the policy – *Collingridge v Royal Exchange Assurance Corporation* 3 QBD 560. It was of no consequence that at the completion of the contract, the defendants' rights in the property would cease.

Bowen, LJ:

Simpson v Thompson, 3 App. Cas. 279 establishes that “an insurer is only subrogated to those rights which may be enforced against third persons in respect of the loss: in the present case the defendants, as vendors, had no rights as against the purchasers in respect of the loss; for a contract of sale is quite distinct from a contract of insurance – *Edwards v. West* 7 Ch. D. 858.

“A fire policy is not quite a contract of indemnity, and a distinction exists between fire insurances and marine insurances; but it has been held that even a marine policy is not a complete contract of indemnity: *Aitchison v. Lohre* 4 App. Cas. 755.

A gift is not to be taken into account between the assured and the insurer as diminishing the loss – *Burnand v Rodocanachi*, 7 App. Cas. 333.

“The doctrine of subrogation only applies where the insurer can bring an action in the name of the assured: here the defendants have received no money for the use of the plaintiff company, and therefore no action for money had and received will lie against them.”

Brett, LJ:

He noted that the purchasers, under the contract of sale, would have to buy the house upon notice, whether it had burned down or not. The house burned down before the date of payment.

Brett, LJ noted that the defendants had an insurable interest, because at all times they were the legal owners of the property, and it was possible that the buyers might not fulfil the contract – and the vendors/defendants would suffer loss. The plaintiffs paid the defendants money for the loss, and the contract of sale was subsequently concluded for the full amount.

The claim of the plaintiff was not to recover money paid by the insurance company, but he nonetheless brought the action in respect of the money. The trial court had dismissed the case on the ground that “the doctrine of subrogation of the insurer into the position of the assured is confined within limits, which prevent it from extending to the present case.”

He then proceeded to assess ‘every rule which has been promulgated and acted on by the courts with regard to insurance law’:

1. The Principle of Indemnity:

“The very foundation, in my opinion, of every rule which has been applied to insurance law is this, namely, that the contract of insurance contained in a marine or fire policy is a contract of indemnity, and of indemnity only, and that this contract means that the assured, in case of a loss against which the policy has been made, shall be fully indemnified, but shall never be more than fully indemnified. That is the fundamental principle of insurance, and if ever a proposition is brought forward which is at variance with it, that is to say, which either will prevent the assured from obtaining a full indemnity, or which will give to the assured more than a full indemnity, that proposition must certainly be wrong.”

2. Constructive total loss under Marine Insurance

This originated to carry out the principle of indemnity, introduced for the benefit of the assured, and a constructive total loss is equivalent to an actual loss, lest the assured would not recover a full indemnity.

3. The doctrine of Abandonment

This is grafted upon the doctrine of constructive total loss, and operates in favour of the underwriter, in order that the assured may not recover more than full indemnity. It is difficult to justify in principle, and was introduced as a matter of justice to prevent the assured to obtain more than full indemnity by fraud.

“That doctrine is to a certain extent technical, that is to say, although the assured has in reality suffered a constructive total loss, and although he is upon general principles entitled to recover,

nevertheless he must fail unless he has given a notice of abandonment.”

4. The doctrine of Subrogation

This does not arise upon any of the terms of the contract of insurance, it is only another proposition which has been adopted to for purposes of indemnity. It is a doctrine in favour of the underwriters or insurers in order to prevent the assured from recovering more than a full indemnity; it has been adopted solely for that reason. It is not applied to insurance law on the ground that underwriters are sureties, as they aren't always so.

The question now, was whether this doctrine can be limited in any way i.e., that the underwriter is subrogated into the place of the assured so far as to enable the underwriter to enforce a contract, or to enforce a right of action? Why is it to be limited to that, if when it is limited to that, it will, in certain cases, enable the assured to recover more than a full indemnity?

It would be ‘contrary to the foundation of the law of insurance’ if subrogation has the effect of enabling an assured to recover more than a full indemnity.

The trial judge limited the doctrine of subrogation to placing the insurer in the position of the assured only for the purpose of enforcing a right of action to which the assured is entitled. “...the full and absolute meaning of the word must be used, that is to say, the insurer must be placed in the position of the assured...as between the underwriter and the assured, the underwriter is entitled to the advantage of every right of the assured, whether such right consists in contract, fulfilled or unfulfilled, or in remedy for tort capable...or in any other right...legal or equitable...whether such right could or could not be enforced by the insurer in the name of the assured by the exercise or acquiring of which right or condition the loss against which the assured is insured, can be, or has been diminished.”

“The doctrine of subrogation goes much further than a mere transfer of those rights, which may at any time give a cause of action either in contract or tort, because if upon the happening of the loss there is a contract between the assured and a third person, and if that contract is immediately fulfilled by the third person,

then there is no right of action of any kind into which the insurer can be subrogated. The right of action is gone; the contract is fulfilled. In like manner if upon the happening of a tort the tort is immediately made good by the tortfeasor, then the right of action is gone; there is no right of action existing into which the insurer can be subrogated. It will be said that there did for a moment exist a right of action in favour of the assured, into which the insurer could have been subrogated. But he cannot be subrogated into a right of action until he has paid the sum insured and made good the loss. Therefore, innumerable cases would be taken out of the doctrine, if it were to be confined to existing rights of action.”

Having assessed a number of passages from other precedents, Brett LJ concluded that ‘it was necessary that the plaintiff should succeed in this case.’

“The doctrine of subrogation must be carried out to the full extent, and carried out in this case by enabling the plaintiff to recover.”

In *National Insurance Corporation Limited v Kakugu*, the respondent insured three motorcycles which were later stolen. The appellant contended that they were not entitled to indemnity for non-disclosure of particulars including; a hire-purchase agreement, the true identity of the rider of the motorcycle when it was stolen and they alleged connivance between the thief and the respondent’s employee.

Court noted that good faith duties are significantly more onerous for the insured and it is unfair because (a) the insured can be unaware of their duty to volunteer information not specifically requested on the proposal form; (b) the law requires the insured to ensure whether information would be relevant to a prudent underwriter’s assessment of risk; (c) breach can arise out of a ‘reasonable’ error on the part of the insured, such as lack of technical knowledge (d) the only remedy for breach of good faith duties is retrospective avoidance of the entire contract and (e) the insurer is not required to show that non-disclosure or misrepresentation had any causal link to the claim so as to avoid the contract and (e) intermediaries such as brokers are not held responsible for any failings on their part.

The nondisclosure and misrepresentation alleged would not have changed the decision of the insurer to give out the policy.



Tuesday, 6th December 2022 – Mr. Robert Kirunda

Mac Gillivray and Parkington, (1975) Insurance Law, 6th Edition, Sweet and Maxwell

Collinvaux's Law of Insurance, Sweet and Maxwell, 7th Edition

J. Lowry and Phillip Rawlings (2004), Insurance Law, Cases and Materials

Topics to be covered:

- Insurable Interest
- Premium
- Risk
- Conditions, Warranties and Causation
- Claims
- Good faith

GOOD FAITH

The assured is in the unique position of having an understanding of the factors necessitating their insurance, and the insurer is in position to be able to assess the risk. Both parties need accurate information in this regard.

A proposal form solicits information in order for the insurer to understand the risk: there has to be some uncertainty that there is going to be an event against which the (prospective) assured seeks indemnity. The insurer examines a spectrum of factors to decide whether to take on the risk.

The insurer expects that every question asked will be answered, and answered truthfully.

The corollary obligation to the disclosure is that a skilled insurer will ask further questions if needed.

The facts that need to be disclosed are material. The decision: “Would a reasonable insurer rely on this fact to take the policy?”

If the fact is not solicited, the assumption on the part of the assured is that it was not required.

- Does the assumption always hold?
- Does it matter that non-disclosure was a mistake?



Joel v Law Union (1908) 2 K.B 415

Joel v Law Union and Crown Insurance Company [1908] 2 KB 863, CA

In a policy of life insurance, the assured had foolishly, but not fraudulently, failed to disclose that she had consulted a doctor for a nervous breakdown. Nevertheless, since the undisclosed circumstance was held to be material, the insurer was entitled to avoid the contract. The important part in this decision is that it emphasises that, if a circumstance is material, that alone is sufficient to disentitle the assured of her right to recover under the policy if it was not disclosed; whether or not the assured regarded the circumstance as material is wholly irrelevant.

Fletcher Moulton LJ: [p 883] ...In policies of insurance, whether marine insurance or life insurance, there is an understanding that the contract is *uberrimae fidei*... There is an obligation there to disclose what you know, and the concealment of a material circumstance known to you, whether you thought it material or not, avoids the policy. There is, therefore, something more than an obligation to treat the insurer honestly and frankly, and freely to tell him what the applicant thinks it is material he should know. That duty, no doubt, must be performed, but it does not suffice that the application should *bona fide* have performed it to the best of his understanding. There is the further duty that he should do it to the extent that a reasonable man would have done it; and, if he has fallen short of that by reason of his *bona fide* considering the matter not material, whereas the jury, as representing what a reasonable man would think, hold that it was material, he has failed in his duty and the policy is avoided... The disclosure must be of all you ought to have realised to be material, not of that only which you did in fact realise to be so.

...Your opinion of the materiality of that knowledge is of no moment. If a reasonable man would have recognised that it was material to disclose the knowledge in question, it is no excuse that you did not recognise it to be so. But the question always is, was the knowledge you possess such that you ought to have disclosed it?

Law

- *CTI Inc v. Oceanus Mutual Underwriting Association (1984) 1 Lloyd's Rep. 467*

Container Transport International Inc and Reliance Group Inc v Oceanus Mutual Underwriting Association (Bermuda) Ltd [1982] 2 Lloyd's Rep 178; [1984] 1 Lloyd's Rep 476, CA

CTI, a container leasing company, took out insurance with Crum and Forster covering a 'Damage Protection Plan' in respect of their containers. Crum and Forster were unhappy with the terms of the policy, and refused to renew the policy after its expiration. Seeking fresh cover, CTI approached CE Heath and Co and managed to obtain 100% cover, the majority of which was with syndicates at Lloyd's; however, the Lloyd's experience was no better, as they also refused to renew. Finally, the insurance was placed with Oceanus. When CTI put forward their claims for losses they had incurred, Oceanus refused to pay, and sought to avoid the policy, contending that CTI had presented an inaccurate claims record and that they had failed to disclose the refusal by previous underwriters to renew.

The Court of Appeal held that as there was both non-disclosure and misrepresentation, the underwriter was entitled to avoid the policy. Each of the judges took time to embellish the scope of s 17.

Kerr LJ: [p 492] ...The duty of disclosure, as defined or circumscribed by ss 18 and 19, is one aspect of the *overriding* duty of the utmost good faith mentioned in s 17.

Parker LJ: [p 512] ...Finally, it is necessary to mention at this stage that the duty imposed by s 17 goes, in my judgment, further than merely to require fulfilment of the duties under the succeeding sections. If, for example, the insurer shows interest in circumstances which are not material within s 18, s 17 requires the assured to disclose them fully and fairly. Again, if the assured or his broker realised, in the course of negotiations, that the insurer had made a serious arithmetical mistake or was proceeding upon a

mistake of fact with regard to past experience he would, under s 17, be obliged to draw attention to the matter. It would...be the plainest breach of the duty under s 17 not to do so.

Stephenson LJ: [p 525] ...I also conclude that the special sections which follow s 17 must be read in the light of this leading section, and all their references to insurer and assured follow the imposition of the statutory duty of utmost good faith on each party.

- *Pan Atlantic Insurance Co Ltd v Pine Top (1994) 3 All ER 581* This case discusses the materiality of a misrepresentation. The House of Lords also clarified the law relating to the right of avoidance and has, in upholding the 'actual inducement' test, rejected the 'decisive influence' test.

Pan Atlantic reinsured their excess of loss with insurers other than Pine Top for the years 1977–79. Pine Top were reinsurers for the first time under the 1980 contract. As Pan Atlantic in 1982 sought a reduced premium, it was natural for Pine Top to be primarily interested in their loss record, before any re-arrangement of premium would be discussed. However, the loss record of Pan Atlantic over the years 1977–79 was misrepresented to Pine Top and there were additional losses sustained by Pan Atlantic between 1980 and 1982 which were not disclosed to them either. Consequently, Pine Top declined any payment of losses, on the grounds of non-disclosure.

The House ruled in favour of the underwriters, in that there was a material non-disclosure and, thus, the insurer was entitled to avoid the contract.⁴² The House was concerned with two important points of law, namely, the ‘decisive influence’ and the ‘actual inducement’ tests. Only the former will be examined here; the latter will be discussed below, p 261.

engendered a great deal of debate in the courts over recent years, was finally settled by the House of Lords in *Pan Atlantic Insurance Co Ltd v Pine Top Insurance Co Ltd* [1994] 2 Lloyd’s Rep 427, HL, below.⁴⁰

The statutory test of the ‘materiality’ of a circumstance is contained in s 18(2), which reads:

Every circumstance is material which would influence the judgment of a prudent insurer in fixing the premium, or determining whether he will take the risk.

The wording of the section leaves no doubt that it is the judgment of a hypothetical prudent insurer which is to be considered; the adoption of an objective, more ascertainable and definable standard is to be expected. However, the section has failed to clarify the degree or manner of influence which the undisclosed information has to have upon the mind or judgment of the prudent insurer.

The hypothetical prudent insurer test

There has never been any uncertainty in marine insurance law as to the use of the test of the hypothetical prudent insurer for the purpose of determining the ‘materiality’ of a circumstance. As this is never in dispute, suffice it here to quote from the judgment of Lord Mustill in *Pine Top* [1994] 2 Lloyd’s Rep 427, HL.

Lord Mustill: [p 445] ...I pause for a moment to consider the other conspicuous feature of the earlier law, namely, the presence in the equation of the hypothetical prudent underwriter. Just when and how this feature was added cannot be deduced from the materials now available, but it is at least as old as 1823...and may well be much older. It is a fair assumption that at least one reason must have been that the principles stated by Lord Mansfield required fair dealing, and it would have been unfair to the assured to require disclosure of matters which a reasonable underwriter would not have taken into account.

The actual inducement test

The House of Lords in *Pine Top* [1994] 2 Lloyd’s Rep 427, HL, may have upheld *CTI* [1984] 1 Lloyd’s Rep 476, CA, with regard to the objective test of materiality, but has, in holding that the actual underwriter must be shown to have been induced into the contract (as in the general law of misrepresentation), unanimously overruled its objective test of inducement.⁴⁴

Lord Goff: [p 431] ...I accept that the actual inducement test accurately represents the law ...I conclude that there is to be implied in the Marine Insurance Act 1906 a requirement that a material misrepresentation will only entitle the insurer to avoid the policy if it induced the making of the contract; and that a similar conclusion must be reached in the case of a material non-

disclosure. This conclusion is, as I understand it, consistent with the opinion expressed by my noble and learned friend Lord Lloyd, that Parliament, by enacting the law as it did in s 20 of the Act, must have intended to codify the common law on materiality, without touching the common law on inducement.

Lord Mustill: [p 447] ...I turn to the second question which concerns the need, or otherwise, for a causal connection between the misrepresentation or non-disclosure and the making of the contract of insurance...

[p 452] ...I conclude that there is to be implied in the Act of 1906 a qualification that a material misrepresentation will not entitle the underwriter to avoid the policy unless the misrepresentation induced the making of the contract, using 'induced' in the sense in which it is used in the general law of contract. This proposition is concerned only with material misrepresentations

SIKIA

Law

Lord Lloyd: [p 465] ...In the case of a misrepresentation in the ordinary law of contract, it has always been necessary for the party seeking to avoid the contract to show that he relied on the misrepresentation. It seems most unlikely that Parliament, by enacting the second sentence of s 20, intended to exclude this rule of common law, for no apparent reason. It is much more likely that the intention was to codify the common law on materiality, without touching the common law on inducement.

[p 466] ...Whenever an insurer seeks to avoid a contract of insurance or reinsurance on the ground of misrepresentation or non-disclosure, there will be two separate but closely related questions:

- (1) Did the misrepresentation or non-disclosure induce the actual insurer to enter into the contract on those terms?
- (2) Would the prudent insurer have entered into the contract on the same terms if he had known of the misrepresentation or non-disclosure immediately before the contract was concluded?

If both questions are answered in favour of the insurer, he will be entitled to avoid the contract, not otherwise.

The evidence of the insurer himself will normally be required to satisfy the court on the first question. The evidence of an independent broker or underwriter will normally be required to satisfy the court on the second question. This produces a uniform and workable solution, which has the further advantage, as I see it, of according with good commercial common sense. It follows that the *CTI* case was wrongly decided, and should be overruled.

- *Christine Mawadri v Britt Syndicates & Anor HCCS 376/2009* Plaintiff filed the suit for recovery of about \$500,000 as loss incurred following cancellation and postponement of a music event she promoted and insured. She had entered into a music promotion agreement with M/s Scangroup Limited – who had acquired the rights to stage musical concerts featuring Akon from the American Talent Group.

The plaintiff paid \$350,000 for Akon to perform in Uganda – and was responsible for selling tickets and supervising gate collections on the actual concert day.

She undertook to get insurance with the second defendant for a “no show” or non-appearance of the artist due to cancellation, postponement or any other reason: and the cover note was signed on 14th April 2008.

The event was postponed because Akon had a medical condition.

The plaintiff argued that this postponement caused her loss on ticket sales – and this was an insurable peril under the policy. The defendants contended that the policy did not cover loss arising from non-appearance of the artist and in any case, the plaintiff breached the insurance contract by not notifying the first defendant of the insurable loss within 72 hours under the policy – thus they were not entitled to any indemnity.

Court found that *whether or not the claim was payable or not is a factor of whether the events leading up to the loss was insured.*

It examined the role of the broker in the procurement of the insurance policy: The authors Raoul & Colinviaux in their book The Law of Insurance 4th Ed (P 297 to 300) discuss the role and liability of insurance brokers. The learned authors make it clear that insurance brokers do owe their clients as prospective insured person a duty of care – they are under a duty to act carefully and also to exercise proper care and skill when carrying out the assured's instructions or to be liable in damages, and possibly for the assured's loss as would be an underwriter.

They write (at Page 297):

Duty of Assured's Agent:

Such an agent, even though he acts gratuitously, is under a duty to the assured to act carefully, and is liable to take out insurance in favour of the assured and may be held liable in damages not only for what the insurer might have been legally liable to pay, in the event of a loss, but for what, on the balance of probabilities, the insurer would have paid.

Insurance brokers are agents who make it their business to procure contracts of insurance for those who employ them. Having undertaken to obtain insurance an insurance broker must exercise proper care and skill in carrying out the assured's instructions, and he cannot excuse himself from accepting a policy that gives insufficient cover by saying that the assured ought to have examined it. But there is no duty in law on him to notify of the terms of a cover note as soon as possible, though in practice it is usual for him to do so. As the assured's agent, he should make inquiries as to material facts and will be liable to the assured for breach of duty if he (the broker) fails, through his lack of care in this matter, to disclose such facts as are material (e.g. claims history) with the result that the policy is avoided by the insurers..."

Nature of action by assured against broker

Where a broker is sued by his client for the failure by the broker to procure an effective contract of insurance for the client, the gist of the action against the broker is not the loss which the client may have suffered thereby but the broker's breach of duty to him..."

Where a person employs an insurance broker as opposed to going directly to an insurer, then the ordinary law of agency applies to that relationship - Halsbury's Laws of England 4th ed (Para 381): "...it is usual for the insurance agent, not the proposer to fill in the proposal although the proposer's signature is always necessary, and the completed and signed proposal is usually transmitted to the insurers by the agent. The position of such an agent has therefore given rise to specific insurance problems..."

Part of the proposal form in this case was left blank – even when signed by the plaintiff. In *Halsbury's Laws of England* at para 373[4]:

Where the space for an answer is left blank, leaving the question unanswered, the reasonable inference may be that there is nothing to enter as an answer. If in fact there is something to enter as an answer, the insurers are misled in that their reasonable inference is belied. It will then be a matter of construction whether this is a mere non-disclosure, the proposer having made no positive statement at all or whether in substance he is to be regarded as having asserted that there is nothing to state..."

This applied to the insurance broker. The position in relation to the first defendant was slightly different: On Lloyd's Underwriters the authors Raoul and Colinvaux (*supra* at page 298 para 15-18) write

"...Lloyd's brokers hold a special position, since contracts of insurance with Lloyd's underwriters cannot be made except with brokers who are members of Lloyd's. Such brokers are, as is the general position, agents of the assured and not of the underwriters, but by a special custom of Lloyd's the broker himself is liable to the underwriters for the premium, and has a lien on the policy in respect of it. He may in such cases be

regarded as an agent of the insurers for the purpose only of receiving the premium...”

In this case, evidence on record indicated that the plaintiff desired a policy which covered non-appearance and both their lawyer and broker knew this. There was no breach by D2 of their duty of care in procuring the policy she wanted: it would be “unreasonable to expect the second defendant to fill Part B of the proposal form for the plaintiff; that would be exceeding its duty as a broker in the circumstances. What can be said is that it was sloppy underwriting to send a form with a Part B signed but not filled in because this could and indeed lead to confusion.”

The reasonable inference was that the plaintiff – by not filling in part B of the policy – did not have the necessary information: and if she did, but did not fill it in – this would amount to non-disclosure. The first defendant underwriters were accordingly correct not to provide a policy cover for non-appearance on the basis of the proposal form.

The plaintiff was accordingly not entitled to \$500,000 as claimed – and court did not have to ascertain the loss.

Focus on:

- Materiality – the *Pine Top* decision
- Inducement
- **Mistake/Misrepresentation***

Is there a correlation between mistake in the context of good faith and fraudulent disclosure in the context of claims? - Longway Suitcase Manufacturing Co. v UAP Insurance (U) Ltd [2014] UGCOMMC 14;

It is a fundamental principle of insurance law that the utmost good faith must be observed by each party. This rule was stated by **Lord Mansfield in CARTER v BOEHM (1766)** as follows: "Insurance is a contract upon speculation. The special facts, upon which the contingent chance is to be computed, lie more commonly in the knowledge of the insured only: the underwriter trusts to his representation, and proceeds upon confidence that he does not keep back any circumstance in his

knowledge, to mislead the underwriter into a belief that the circumstance does not exist, and to induce him to estimate the risk as if it did not exist. The keeping back such circumstance is a fraud, and therefore the policy is void. Although the suppression should happen through mistake without any fraudulent intent, yet still the underwriter is deceived, and the policy is void; because the risk run is really different from the risk understood and intended to be run at the time of the agreement.... the governing principle is applicable to all contracts and dealings. Good faith forbids either party by concealing what he privately knows, to draw the other into a bargain, from his ignorance of that fact, and his believing the contrary "

According to **Hodgins**, misrepresentation is used to describe situations where the wrong or misleading answer has been given to questions posed of the applicant for insurance.

It is difficult to discuss misrepresentation without discussing non-disclosure/Concealment. Non-disclosure describes a situation where no answer has been volunteered to the insurer because no specific question was asked.

Generally speaking, in order for an insurance company to void a contract because of misrepresented information, the information in question must be material to the decision to extend coverage.

Concealment, on the other hand, is the failure to disclose information that one clearly knows about. To void a contract on the grounds of concealment, the insurer typically must prove that the applicant willfully and intentionally concealed information that was of a material nature.

Material

A fact is material for the purposes of both non-disclosure and misrepresentation if it is one that would influence the judgment of a reasonable or prudent insurer in deciding whether or not to accept the risk or what premium to charge. In *Container Transport International Inc. v. Oceanus Mutual Underwriting Association (Bermuda) Ltd* (1984) 1 Lloyd's Rep. 467, the court observed that the requirement that a fact must be one which would influence the judgment of a prudent insurer did not mean that an insurer must have acted differently if he had known the fact, but merely that he would

have wanted to know of the fact when making his decision; “judgment” was construed as meaning “the formation of an opinion”, not the final decision.

In general contract law, for a misrepresentation to be actionable, there must be:

- a statement of fact and not opinion or law;
- it must be untrue or inaccurate;
- it must be material to the making of the contract
- it must be a statement of present fact and not as to the future
- it must have induced the innocent party into making the insurance contract on the terms on which it was made

OPINION

As mentioned above, the general rule is that a statement of opinion is not a fact. This is exemplified in the case of [*Bisset v Wilkinson*](#) [1927] AC 177. In this case, a farmer stated that “it was his opinion” that the land could hold 2,000 sheep. The plaintiff claimed for misrepresentation, but it was held not to be a statement of fact. This was due to two factors

1. He expressly stated it was only his opinion
2. He held himself out as having no expertise as to whether the land held that many sheep, he had never claimed to keep sheep on the land, it was merely a guess. The plaintiff was also aware of this fact.

Statements of law

A statement of law which is incorrect will amount to a false statement of fact for the purpose of misrepresentation.

***Pankhania v LB Hackney* [2002] EWHC 2441**

The claimants purchased property induced by a representation that the current occupiers of the property were contractual licensees, whose occupation could be terminated on giving 3 months notice. In fact the current occupant was in fact a tenant protected under the Landlord and Tenant Act 1954. This was a misrepresentation as to law which had previously been assumed not to be an actionable misrepresentation through analogy with case law based on restitutionary claims for mistake of law. The rule barring

recovery for mistake of law was abolished by the House of Lords in *Kleinwort Benson v Lincoln County council*. The High court held that actions based on misrepresentation of law could now be actionable based upon that change of law. The claimant's action was therefore successful.

False statement

There must be a false statement of fact or law as oppose to opinion or estimate of future events

Statements of intention

A misrepresentation as to future intention is usually not actionable for misrepresentation, as it will not amount to a statement of fact. The statement of future intent will not be held to be a fact even if the defendant intentionally changes their mind as to their intentions (*Inntreprenuer Pub Co v Sweeney* [2002] EWHC 1060 (Ch)).

A statement of future intention made with absolutely no intention at the time of the statement, however, will amount to a misrepresentation, as seen in *Edgington v Fitzmaurice* (1885) 24 Ch D 459.

The representation must be material

The representation must not be an inconsequential statement which is of irrelevance to the plaintiff. In order to be actionable, the representation must be material so that it would positively influence a reasonable person to enter the contract. In no case is it relevant to consider whether the non- disclosure would influence the particular insurer concerned or whether the assured himself thought that the facts were material. In **JOEL v LAW UNION AND CROWN INSURANCE CO.** Fletcher Moulton, L.J. stated: "The disclosure must be of all you ought to have realised to be material, not of that only which you DID IN FACT realise to be so..... Your opinion of the materiality of that knowledge is of no moment. If a reasonable man would have recognised that it was material to dis. In the case of **Container Transport International Inc V. Oceanus Mutual Underwriting Association (Bermuda) Ltd** (1984) 1 **Lloyds Rep. 467**, the court observed that the requirement that a fact must be one

which would influence the judgment of a prudent insurer did not mean that an insurer must have acted differently if he had known the fact, but merely that he would have wanted to know of the fact when making his decision; “judgment” was construed as meaning “the formation of an opinion”, not the final decision.

- Facts that need to be disclosed
- Fraud

PREMIUM

Section 2 of the Insurance Act 2017 is on Interpretation under which the following are given meaning:

An insurance contract is defined to be a contract under which one party, known as the insurer, in exchange for a premium, agrees with another party, known as the policy holder, to make a payment, or provide a benefit to the policy holder or another person on the occurrence of a specified uncertain event which, if it occurs, will be adverse to the interests of the policy holder or to the interests of the person who will receive the payment or benefit;

Micro insurance is insurance for the protection of low-income people against specific perils in exchange for regular premium payments proportionate to the likelihood and cost of risk involved;

Premium is the consideration for entering into an insurance contract;

A licensee means a person who holds any licence issued under this Act.

In insurance, consideration for assumption of risk is called premium, and it is governed by the Insurance Act.

The law prior to the current position is that - one could have credits on premium;

The current insurance act departs from the traditional English position.

Section 63(1):

(1) Subject to subsection (2), the insured shall pay in full the premiums payable under the insurance contract on or before the date of inception of the policy or renewal of the policy.

(2) The Authority may by regulations provide for the payment of premiums in any other manner.

- for there to be a valid insurance policy, you must pay the premium

- you must renew the premium in full

- for renewal of a policy, the premium must be paid in full.

Section 56 prohibits the unauthorized provision of credit on premiums.

In *Lewis Ltd v Norwich Union fire Insurance Co* [1916] AC 509, 519 the court defined premium as “the consideration required of the insured for which the insurer undertook his obligation under the contract of insurance.” It was stated each party is supposed to fulfill its obligation under the contract and premium was the sum of money paid by the insured either as single lump sum or made in installments.

What if one has signed a proposal form, and one signs a check: before the check clears, the event insured against occurs: is the insurer liable?

The rules on premium are strict.

THE IMPORTANCE OF

PREMIUM

In “The Importance of Insurance Premium Payment Moment, One of the Key Elements of Insurance Contract and the Respective Problematic” by Dr. Juliana Bylykbashi

Insurance is the “delegation of responsibility for damage reward”. This means that the insurer through the insurance contract is obliged to indemnify the damage submitted by the insured for his person/or property. This insurance consists also to the return of an approximate damaged cash value.

In material sense through civil legal relationship of insurance one party transfers to the other party the damage risk, which is the obligation for reward of a damage, in case it happens, despite this damage has not been caused because of the second party.

The insurance contract is a term contract, which consists in time when this contract brings legal consequences, time when the insurance premium has to be paid to the insured and time when the insurance reward must be paid by the insurer.

One party the insurer, if the circumstances provided by the contract are proved, which is the insurance case, undertakes to pay to the other party, to the insured or to a third person.

It is clear that the insurer "...will undertake to pay to the other party ...a reward in cash, only against a premium paid by the insured" This means that the premium payment is an essential condition of the insured which enables the execution of insurance contract by the insurer, so the cover that the last one will undertake to make to the insured in case of proving one of the insurance events.

In *McDonald V Law Union Insurance C.*(1874)LR9 QB 328, Blackburn J stated that

"Although the policy of insurance takes the form of unilateral undertaking by the insurers, to make the stipulated payment on the happening of the stipulated event, the contractual terms and conditions it contains are binding on the assured as they are on the insurers. Under Halsbury's Laws of England, 4th edition at page 243, the assured cannot therefore enforce the insurers promises as being contractual unless he in turn has performed any provisions which has to be performed by him to make the contract effective."

The issue of insurance premium is one of the main and significant points in insurance issues because paying the insurance premium corresponds exactly to the provision of insurer of the insured risk worth. The insurance premium is the risk price *preptium periculi*. Not paying the insurance premium, in some cases can bring the release of insurer from the obligation to cover the insurance in case the insured event is proved. This is also one of the main and the most important obligations of the policy holders.

Failure to pay the premium or the first installment on the term entails the suspension of the insurance contract.

In case the parties enter in this insurance contract, but the insured does not pay the premium, then we do not have a contract, for as long as there are no rights and obligations between them.

We're then able to conclude that the insurance contract is a consensual one, which enters in force after reaching the deal between the contract parties, without the need that one party gives or consign a certain object. So, the parties are considered to be in legal obligation relationships, enjoying the relevant and mutual rights and obligations.

Considering that the main goal of insurance companies, as trade companies is profit realization, the paying of the premium is a condition sine qua non of existence of this contract.

The insurance contract can never enter in force without payment of premium because the main condition to enter in the insurance contract is that of paying the premium. The moment of starting the responsibility of insurer is related to the payment of insurance premium, regardless of the fact that the contract is signed, the effects of the contract are conditionally or obligatorily related to premium payment.

It holds the attitude that the property insurance contract is a consensual contract and though when the insurance event happened, the insured party has not fulfilled his own obligation (paying premium), for what above argued, the insurer, the defendant party has the obligation to pay to the plaintiff, the insured, the insurance reward within the limit of amount provided in the contract.

Group Policies

Does a claim provided after expiry of a policy amount to fraud?

- *MacGillivray*

- *Longway Suitcase Manufacturers v UAP*

- *Collinvaux on Insurance*

Section 64 - Price control mechanism: this provision is on approval of premium and commission rates – which must conform to the Insurance Regulatory Authority Rules.

- (1) An insurer or HMO shall not issue any policy of insurance if the premium rates and commission rates contravene any regulations made by the Authority under subsection (2).
- (2) The Authority may prescribe minimum premium or maximum commission rates for any class or type of insurance business.

The present position in Uganda is that one cannot have a policy without paying premium in full.



INSURABLE INTEREST

Section 133 of the Insurance Act: One can only take benefit from a policy either over a thing or a life in which one has an insurable interest.

An insurable interest is essentially a possibility of loss. Only a person who stands to lose when the event insured against occurs can claim on a policy.

There is an ambiguity under **section 133(1)** – where the first part of the provision covers ‘life’ and then the insurable interest relates to the ‘life or event.’ This is problematic because the potential beneficiary of the contract is not a party to the contract. The law has set out categories of people who can claim on a contract of life insurance – **section 133(2)**. Subsections (a) to (c) are unqualified; age, success and ability have no bearing on whether a child or parent can take benefit from a life insurance benefit; subsections (d) and (f) are qualified because they relate to dependency. Also see section 5 of the Marine Insurance Act.

People have a vested interest in the life insured if such life is dependent on them.

- *Prudential Staff Union v. Hall* (1925) K.B. 685
- *Macaura v Northern Assurance* (1925) A.C. 619:
- *Medical Defense Union v. Department of Trade* [1979] 2 ALL ER 421
- *Lucena v Craufurd* (1806) 2 Bos. & Pul. 269 (professionals)

The most comprehensive of judicial pronouncements on the subject of insurable interest before the Act were delivered by Lord Eldon and Lawrence J, in *Lucena v Craufurd*, below. It would appear that the sentiments of Lord Eldon have been incorporated in the definition provided in s 5(2) of the Act, to the effect that the assured must stand in some relationship recognised by law to the subject matter insured.

Lucena v Craufurd (1806) 2 B&P (NR) 269, HL

The assured were the Commissioners of Admiralty, whose duty was, under statute, to take care of Dutch vessels and cargoes ‘which had been or might be thereafter detained in or brought into the ports of the United Kingdom’. Before the commission was issued, certain Dutch vessels and their cargoes had been seized by order of the British Government for the purpose of being brought to England. After the commission was issued, the Commissioners insured these ships and their cargoes. The ships were lost during their voyage to England. The Commissioners then sought to recover under the

policy. The insurer's defence was that the Commissioners had no insurable interest in the ships at the time of loss.

The House of Lords upheld the insurer's defence on the basis that the Commissioners' duty was to take care of the ships only *after* their arrival. Since the ships had not yet arrived in England at the time of loss, the Commissioners did not have an insurable interest. A panel of judges was summoned to advise the House on the issues raised; notably, Lawrence J offered his perception, sometimes referred to as 'the moral certainty' or the 'factual expectancy' test, of what constitutes 'insurable interest'.

Lawrence J: [p 300] ...It is first to be considered what that interest is, the protection of which is the proper object of a policy of assurance. And this is to be collected from considering what is the nature of such contract.

[p 301] ...that insurance is a contract by which the one party in consideration of a price paid to him adequate to the risk, becomes security to the other that he shall not suffer loss, damage, or prejudice by the happening of the perils specified to certain things which may be exposed to them.

[p 302] ...That a man must somehow or other be interested in the preservation of the subject matter exposed to perils, follows from the nature of this contract, when not used as a mode of wager, but as applicable to the purposes for which it was originally introduced; but to confine it to the protection of the interest which arises out of property, is adding a restriction to the contract which does not arise out of its nature...A man is interested in a thing to whom advantage may arise or prejudice happen from the circumstances which may attend it... And whom it importeth, that

- *Mark Rowlands v Berni Inns* (1985) 3 All ER
- *C.I.C General Insurance Co. Ltd v Joseph Mwangi, Kenya* HCCA 64/ 2015
- *Beresford v Royal Insurance Co Ltd* [1937] 2 All ER 243

Note:

1. Insurable interest relates to how directly one is affected by the occurrence of the event insured against in the insurance policy.
2. When it comes to life, the question of an insurable interest depends on the test of dependence and sustenance.

RISK

Risk is the thing one is protecting oneself from. It has to be very carefully defined because the insurer is only obliged to cover that thing which they understood to be their obligation to cover.

Risk can neither be general nor vague.

[Do a comparison between *Global Process Systems Inc. v Syarikat Takaful Malaysia Bhd. (The Cendor MOPU)* [2011] UKSC and *The Financial Conduct Authority and Others v Arch Insurance (UK) Ltd and Others* [2021] UKSC 1 (15th January 2021)]

Also compare: *Café Chameleon CC v Guardrisk Insurance Company Ltd* (5736/2020) [2020] ZAWCHC 65 and *Ma-Afrika Hotels (Pty) Ltd and Another v Santam Limited* (6499/2020) [2020] ZAWCHC 160; [2021] 1 All SA 195 (WCC)

- Issue in the *Cendor MOPU* Whether the stress affecting the rig while it was being transported was part of the risk covered by the insurance rig.
- The Financial Conduct Authority involves a distinction between business interruption and force majeure.

Courts typically interpret risk in a restrictive manner – and the risk must be understood by both parties.

Read *McGillivray on Risk* and compare with *Collinvaux*.

CLAIMS

The insured has a duty to notify the insurer immediately once the risk occurs.

The insured must notify within the terms and requirements of the policy.

- *MicroCare v Centenary Rural Development Bank, Miscellaneous Cause No. 329 of 2017*;

One must never make a false claim, lest it is deemed fraudulent: this arises from the principle of utmost good faith – the claim has to be honest and accurate.

Does this mean that every falsehood amounts to fraud?

- o Read *Longway Suitcase Manufacturing Co. v UAP Insurance (U) Ltd [2014] UGCOMM 146*

Plaintiff's action for 1.83 million US Dollars, general damages, interest and costs of the suit. They claimed under a policy of insurance from May 2010 – in consideration of premium paid against loss or damage by fire. Property at the factory was destroyed by fire on 16th July, 2010. It was common ground that the insurance policy was valid at the time the risk occurred.

The defendant denied that the plaintiff had a claim. Further, they argued that the fire was self-inflicted and amounted to arson on the plaintiff's part. The fire was not accidental. Secondly, the defendant argued that *Longway* did not comply with the terms of the policy. Alternatively, they submitted that the plaintiff exaggerated the damages, and the claim was not a true and fair reflection of the property that was destroyed in the fire.

On arson

The plaintiff argued that in cases of an insurance policy, the defendant must prove the assertion that the plaintiff is guilty of arson – *Slattery v Mance [1962] 1 All ER 525*. This burden must be discharged on a balance of probabilities. However where the jury comes to the conclusion that the loss is equally consistent with arson as it is with an accidental fire, the onus being on the Defendant, the Plaintiff would win on that issue.

It was observed that the defendant 'was doing everything possible to keep the findings that were not favorable to its

position away from the plaintiff.” This demonstrated “bad faith and dirty hands” of the defendant.

There was nothing concrete to support arson on the part of the plaintiff.

On breach of the policy

The defendant argued that the plaintiff did not comply with terms of the policy, especially clause 033 which required fire extinguishers on the premises.

The plaintiff contended that in light of evidence on record, the defendant waived the provision for fire extinguishers: they never explained to the plaintiff that they had to have firefighting equipment on the premises – and they had confirmed, upon inspection of the premises – that everything was okay.

Estoppels in the context of insurance are discussed in *Motor Oil Hellas (Corinth) Refineries SA v Shipping Corporation Of India, Kanchenjunga (1990)*¹ *Lloyd's Rep* 391:

"Equitable estoppels occurs where a person, having legal rights against another, unequivocally represents (by words or conduct) that he does not intend to enforce those legal rights; if in such circumstances the other party acts, or desist from acting, in reliance upon that representation, with the effect that it would be inequitable for the representor thereafter to enforce his legal rights inconsistently with his representation, he will to that extent to be precluded from doing so."

On market value of the goods

Court held that prima facie, the value of the property is measured on the basis of market value – Halsbury's Laws of England, 4th Ed. 2003 Reissue Vol. 25 (Insurance) at para 629.

On fraud as alleged by the defendant

The particulars of fraud were not pleaded: in *Haji Abdul Nasser Katende versus Vithaldas Haridas & Co. Ltd Civil Appeal No 84 of 2003* it was held that the standard of proof for fraud is higher than the balance of probabilities in civil cases. However the standard of proof is not so high as to require proof beyond reasonable doubt.

Court's Judgment

Court found that “an acceptance of an insurance policy will be of no effect in law unless the parties have agreed to every material term

of the contract they wish to make.” – see McGillivray on Insurance at 99.

The amount and subject matter of insurance are fundamental terms which have to be agreed upon.

PW2 – the person responsible for obtaining the insurance policy from the defendant on behalf of the plaintiff demonstrate that he did not understand the subject matter of insurance – and during the period of signing the policy – he had signed 6 contracts in Chinese for the manufacture or assembly of suitcases on commission. Each stipulated that the plaintiff was responsible for loss by fire or theft. **In this case, there was no valid contract ever executed between the parties.**

On circumstantial evidence to prove arson

Teper v Reginam [1952] 2 All ER 447 – it was held that circumstantial evidence must always be narrowly examined because it may be fabricated to cast suspicion on another.

At 451: “*The circumstantial evidence falls short of conclusiveness and a properly instructed jury, having it alone before it, would have had a more than usually difficult decision to make.*” Hearsay evidence is inadmissible unless it forms part of *res gestae*.

On fraud

Fraud must be strictly proved – *Kampala Bottlers Limited v Damanico (U) Limited, Civil Appeal 22/1992*. It is ‘actual dishonesty on the part of the person alleged to have acted fraudulently, which dishonesty deprives or is calculated to deprive the victim of something.

On claims:

From the above discussion the conclusion is that as a matter of fact the Defendant never pleaded fraud and the defence of fraud of the Plaintiff is liable to be excluded as a defence. However the Defendant pleaded in the written statement of defence that the claim was exaggerated. According to **Halsbury's laws of England fourth edition reissue volume 25** at paragraph 493:

“A claim which is put forward when the insured knows that he has suffered no loss or which is supported by false evidence is clearly fraudulent. The position is not so clear where the claim is for an amount in excess of the amount of the loss and the charge of fraud is based upon the suggestion that the claim has been fraudulently exaggerated. The mere fact that the assured claimed an excessive amount is not necessarily proof of fraud; questions of amount are largely matters of opinion and the assured may have honestly over estimated the value of his property or the amount of his loss. The excess may be so great as to justify the conclusion that, having regard to the circumstances, the exaggeration of the amount cannot be an honest estimate but must have been intended to deceive the insurers and to induce them to pay a larger sum than is properly payable; in this case the exaggeration is fraudulent. An exaggeration of amount may also be classified as fraudulent where the insured puts forward deliberately exaggerated figures, not for the purpose of inducing the insurers to pay the full amount of the claim, but for the purpose of fixing a basis upon which to negotiate a settlement.”

The effect of a fraudulent claim is provided for under **paragraph 492 of Halsbury's laws of England** (supra) and is that making a fraudulent claim is in breach of the duty of good faith and consequently the assured forfeits all benefits under the policy, whether it contains an express condition to that effect or not. Breach of the principle of good faith permits either party to avoid the contract altogether if it is established against the other party either that there has been a failure by the party to disclose a material fact or that the other party has made an innocent misrepresentation of a material fact (See paragraph 349 Halsbury's laws of England (supra)).

Claims may be unenforceable on the grounds of public policy.

Geismar v Sun Alliance and London Insurance Ltd and another [1977] 3 All ER 570, the Plaintiff insured against theft and while the policies were in force various articles were stolen from his house. This included some property which had been imported into the United Kingdom by the Plaintiff without being declared to customs and excise officers and without payment of the required duty. Talbot J held at page 580 – 581 that the policy would be unenforceable in respect of the smuggled articles and to enforce them would be in conflict with the public policy:

“It seems to me that These smuggled articles are in the same category as the forbidden cargo in *Parkin v Dick*. No new area of public policy is involved here. The Plaintiff is seeking the assistance of the court to enforce contracts of insurance so that he may be indemnified against loss of articles which he deliberately and intentionally imported into this country in breach of the Customs and Excise Act 1952.

... But where there is a deliberate breach of the law I do not think the court ought to assist the Plaintiff to derive a profit from it, even though it is sought indirectly through an indemnity under an insurance policy.”

In **Mackender and Others v Feldia A G and Others [1966] 3 All ER 847** Lord Denning MR at 850 held that:

“As to illegality, I would only say this. The underwriters were clearly innocent. The diamond merchants may have had an unlawful intention to smuggle goods into a friendly foreign country; but their illegality would not affect the formation of the contract. It would only make it unenforceable. It would mean that they could not recover on the policy.”

The law is that goods which were not declared to the Revenue Authority for purposes of payment of customs dues cannot be included in a claim for indemnity for their loss. However the burden is on the Defendant to prove that the Plaintiff did not have the quantity of goods for which indemnification is sought. Secondly that the origin of the goods is outside the country and ought to have been declared to the customs authorities. As to the quantity of the goods affected by the fire the only acceptable evidence is that of the Defendant's officials who visited the site of the fire as well as the Plaintiff's witnesses.

A consideration of whether certain goods had been declared for customs purposes is a public policy issue as to whether a contract of indemnity can be enforced for any goods that are not captured in the customs records. The issue does not address the question of the market value of goods that are lawfully in the country. Secondly it does not address the question of fact of whether the Plaintiff imported raw materials and not suitcases as is inferred from the evidence which is to the effect that the suitcases were made in Uganda from raw materials imported from China or at least from outside Uganda. Consequently the question of whether the claim of the Plaintiff is an exaggerated claim is primarily affected by the considerations of whether the indemnity clause can be applied to goods that are not known to the customs authorities using the public policy of the court not to assist the Plaintiff to benefit from an illegality. Finally this question does not address the pertinent question of the quantity of the goods in the warehouse claimed by the Plaintiff or established by the Defendant's officials as having been burnt. The alleged quantity has to be established first.

On the principle of good faith

The principle of utmost good faith is a fundamental principle of insurance law. It is a contract "uberrimae fidei" (of utmost good faith). According to Osborn's Concise Law Dictionary (supra) at page 421 the principle connotes the duty of a promisee to communicate to the promisor every fact and circumstance which may influence him in deciding to enter into the contract or not. "Contracts of insurance of every kind are of this class.

Court went on to find that determining the quantum of loss is a question of fact. Its duty is to ascertain from the available evidence whether the plaintiff had the quantity of goods claimed for – and the next question is whether the goods are valued at an acceptable rate or overpriced: "overpricing is not evidence of fraud". Lastly, the question is whether all goods have been imported for purposes of ascertaining the quantity and value of the goods before making a conclusion on whether there was a fraudulent claim by the plaintiff.

Read Collinvaux and McGillivray on Claims.

A man may insure against loss caused by the illegal acts of his employees or Defendants. It would be no objection to his recovery under fire policy to show that the servant or probably even his wife had wilfully burned the premises, provided that the insured himself was not privy to the act – paras 356

The standard of proof is not proof beyond that of a reasonable doubt. It is proof on the balance of probabilities that the insured wilfully caused the fire – at 482 & 483.

There are certain fundamentals in an insurance contract which must be agreed upon between the insurers and the assured. An acceptance of an insurance policy will be of no effect in law unless the parties have agreed upon every material term of the contract they wish to make. The material terms of the insurance are discussed at page 99 to include:

"the definition of the risk to be covered, the duration of the insurance cover, the amount and mode of payment of the premium and the amount of the insurance payable in the event of loss. As to all these there must be a *consensus ad idem*, that is to say, there must either be an express agreement or the circumstances must be such as to admit of a reasonable inference that the parties were tacitly agreed. Without such agreement, it would be impossible for the courts to give effect to the parties' contract except by virtually writing the contract for them, which is not the function of the court to do."

According to MacGillivray on Insurance Law (supra) at page 197 paragraph 8 – 6, if premiums have been paid to the insurer with an application for insurance, but no binding contract of insurance is in fact concluded, the money is recoverable as paid for a consideration which has wholly failed. That is the situation here and the Plaintiff is entitled to a refund of the premium paid.

- *Lickiss v Milestone Motor Policies* (1966) 2 All E.R. 972 (on breach – and waiver - of condition in an insurance contract)

A motor cyclist was insured under a motor policy against third party risks. Condition 1 of the policy provided that "the insured shall give full particulars in writing" to the insurers "as soon as possible after the occurrence of any accident ... and shall forward immediately any letter, notice of intended prosecution, writ, summons or process relating thereto". That condition was a condition precedent to any liability of the insurers. On 17 May 1964, the motor cyclist collided with a taxicab, which was damaged. The motor cyclist received a notice of intended

prosecution, and was served with a summons returnable on 2 July 1964, By letter of 18 June 1964, the police informed the insurers of these proceedings. On 23 June 1964, the insurers wrote to the motor cyclist—"We understand that proceedings are being taken against you on July 2 ... It would be appreciated if you would let us know why you have not notified us of these proceedings, since we will wish to arrange your defence. We await your comments". On 2 July 1964, the motor cyclist pleaded guilty by letter and was fined.

£5. On 10 August 1964, the insurers repudiated liability. In an action by the taxicab proprietor the motor cyclist was held liable for the damage to the taxicab, and failed to recover indemnity as against the insurers on the ground of his breach of condition 1 by not having sent to them the notice of prosecution and the summons.

Held – the motor cyclist's claim was not barred by condition 1 of the policy, but he was entitled to recover from the insurers in respect of his liability to the taxicab proprietor, for the following reasons—

- (i) the insurers' letter of 23 June 1964, was tantamount to their saying that they did not want to see the notice of prosecution and the summons, and the sending of the letter in the circumstances was a waiver of the terms of condition 1 regarding the notice and summons; accordingly the defence founded on breach of condition 1 failed, and the motor cyclist was entitled to recover on the policy in respect of his liability to the taxicab proprietor (see p 976, letters a c and f, post). *Plasticmoda Societa per Azioni v Davidsons (Manchester) Ltd* ([1952] 1 *Lloyds' Rep* 527) applied.
- (ii) (per Lord Denning MR and Danckwerts LJ; Salmon LJ dissenting) since the insurers had received all the necessary information about the prosecution from the police, it was unnecessary for the motor cyclist to give the insurers the same information under condition 1 of the policy, and the insurers could no longer rely on that condition (see p 976, letters b and c, post).

Secondly, the letter of 23 June 1964, was a waiver of the condition. The principle of waiver is simply this: that if one party by his conduct leads another to believe that the strict rights arising under the contract will not be insisted on, intending that the other should act on that belief, and he does act on it, then the first party will not afterwards be allowed to insist on the strict rights when it would be inequitable for him so to do (see *Plasticmoda Società per Azioni v Davidson (Manchester) Ltd*). When the insurers got the letter from the police on 18 June they could have asked for the notice of prosecution and the summons if they had wanted them. Instead of doing so, they merely wrote to the motor cyclist on 23 June saying: "It would be appreciated if you % 975 would let us know why you have not notified us of these proceedings." By not asking for the documents, they as good as said that they did not want them. So he did not send them. I do not think that they should be allowed now to complain of not receiving them. I think that they waived the condition.

Appeal allowed.

- *Beresford v Royal Insurance [1999] Lloyd's Rep IR 29* Beresford v Royal Insurance is a case heard by the English High Court.

The case concerned a dispute between a policyholder, Mr. Beresford, and his insurer, Royal Insurance, over the policyholder's claim for the loss of use of his vehicle following an accident.

Facts: Mr. Beresford was involved in an accident which rendered his vehicle un-roadworthy but did not cause any physical damage to the vehicle. The policyholder made a claim to his insurer, Royal Insurance, for the loss of use of his vehicle. The insurer rejected the claim on the grounds that the policy only provided coverage for physical damage to the vehicle and not for the loss of use.

Holding: The court held that the insurer was liable to pay compensation to the policyholder for the loss of use of his vehicle, even though the vehicle was not physically damaged in the accident. This ruling established that the right to receive compensation for loss of use is a separate and distinct right from the right to receive compensation for physical damage to the vehicle.

- *Suffish International Foods Processors Uganda Ltd and another v Egypt Air Corporation [2003] 1 EA 330 (SCU)*

- *Lord Napier and Ettrick & Anor v Hunter and others ; Lord Napier and Ettrick v R F Kershaw Ltd and others* [1993] 1 All ER 385

insurance market in excess of a certain amount and up to a fixed maximum amount. As a result of the negligence of the Outhwaite syndicate's managing agents, many insurance policies underwriting claims for asbestosis had been issued without adequate reinsurance cover, with the result that many 'names' suffered catastrophic losses and claimed upon their stop-loss policies. These claims were met by the stop-loss insurers. Subsequently, the 'names' had also brought actions against their agents (of Outhwaite), claiming damages for negligence. Those actions were settled by way of a payment of £116 m (the settlement moneys) which was held on behalf of, *inter alia*, the 'names'. The stop-loss insurers averred that, under the principle of subrogation, they had an equitable proprietary interest in the names' share of the settlement moneys to the extent of the claims they (the stop-loss insurers) had met.

The House of Lords ruled that the stop-loss insurers had (to the extent they had reimbursed the 'names') an equitable proprietary lien or charge in their favour in the settlement moneys, which could be enforced. Thus, the 'names' could not receive any money from the settlement fund until the stop-loss insurers had first been fully reimbursed in respect of the money they had paid out to the 'names' under the stop-loss policies. In coming to their decision, the House considered the whole issue of subrogation and rights in equity.

SIRKIA

The *Lord Napier* case, above, having established the equitable proprietary rights of an insurer under subrogation, was not called upon to consider the equitable proprietary rights of the insured when an insurer, by way of subrogation, recovers more than the amount he had indemnified the insured.

- *Mawadri v Britt Syndicates & Anor* HCCS 376/2009
- *Galloway v. Royal Guardian Royal Exchange (UK) Ltd* (1999) Lloyd's Rep. I.R. 209

LOW

NEXT LECTURE

1. REINSTATEMENT
2. CONDITIONS AND WARRANTIES

It is perhaps necessary at the outset to mention briefly that, unlike contract law, where a warranty amounts to nothing more than a term in a contract, the breach of which sounds in a remedy only for damages, a promissory warranty in marine insurance law is of much greater significance. In marine insurance, a warranty is promissory in nature and is, in fact, a promissory condition precedent, the non-fulfilment of which will automatically discharge the insurer from liability or, as the case may be, further liability, as from the date of breach.

As will be seen, a promissory warranty has also to be differentiated from a so called warranty prefaced with the words 'warranted free from...', the purpose of which is to except an insurer from liability for a particular loss. The differences between them are crucial, as they also affect questions relating to burden of proof and causal connection.

The Marine Insurance Act 1906 identifies two types of warranty when it states that: 'A warranty may be express or implied'. Such a warranty in insurance law, be it express or implied, is promissory in nature whereby the assured pledges to fulfil the specific condition contained within the contract; failure to do so will automatically discharge the insurer from liability under the policy. To this effect, s 33(1) of the Act affirms:

A warranty, in the following sections relating to warranties, means a promissory warranty, that is to say, a warranty by which the assured undertakes that some particular thing shall or shall not be done, or that some condition shall be fulfilled, or whereby he affirms or negatives the existence of a particular state of facts.

Section 35(1) avers that: 'An express warranty may be in any form of words ...' Thus, provided that an intention to warrant may be inferred, a promissory warranty may be in standard form, as in the Institute Clauses, or in any form of words which the contracting parties may care to frame their warranty.

NATURE OF A WARRANTY

A warranty, as defined by the Act, has specific characteristics, namely:

- (a) it must be exactly complied with;
- (b) it need not be material to the risk;
- (c) there is no remedy for breach;
- (d) there is no defence for breach; and
- (e) it is a promissory condition precedent.

- a. It must be exactly complied with

In the case of *Marine Insurance Co. v. Ralli Bros.* (1913), the court held that a warranty must be strictly complied with and that a breach of warranty discharges the insurer's liability, even if the breach is minor or accidental.

Pawson v Watson (1778) 2 Cowp 785

During the American War of Independence, the British vessel *Julius Caesar* was insured with the defendants for a voyage from England to Halifax, Nova Scotia. Under the policy, she was required to mount 12 guns and be crewed with 20 men. During the voyage, *Julius Caesar* was captured by an American privateer and, at the time of her capture, she had on board six four-pounder guns, four three-pounders, three one-pounders, six half-pounders and 27 crew, of whom only 16 were men; the rest being boys. The insurers refused to indemnify the assured, because the policy had only been underwritten on the basis of the ship having 12 guns and 20 'men' aboard.

The court ruled that the condition only amounted to a representation and not a warranty, because the condition was not a written part of the policy. It was the assured who had volunteered the information with regard to the strength of the ship, and the insurers had made no other inquiries other than that she was a ship of force.

Lord Mansfield: [p 787] ...There is no distinction better known to those who are at all conversant in the law of insurance, than that which exists, between a warranty or condition which makes part of a written policy, and a representation of the state of the case. Where it is a part of the written policy,

it must be performed: as if there be a warranty of convoy, there it must be a convoy: nothing tantamount will do, or answer the purpose; it must be strictly performed, as being part of the agreement; for there it might be said, the party would not have insured without convoy.... So that there cannot be a clearer distinction, than that which exists between a warranty which makes part of the written policy, and a collateral representation, which, if false in a point of materiality, makes the policy void; but if not material, it can hardly ever be fraudulent.²

b. A warranty need not be material to the risk

Section 33(3) of the Act clearly indicates that, for the insurer to be discharged from liability by a breach of a warranty, it is irrelevant whether the warranty 'be material to the risk or not'.

Such was the case in *Newcastle Fire Insurance Co v MacMorran and Co* (1815) 3 Dow 255, where a mill which was insured was wrongly described in the proposal as being of the first class. When the assured claimed for a loss by fire, the insurers refused to indemnify the assured on the ground that the incorrect description of the property amounted to a breach of a warranty. In his summing up, Lord Eldon confirmed that materiality was only relevant to a representation, and not to a warranty.

Lord Eldon: [p 262] ...it is a first principle in the law of insurance, on all occasions, that where a representation is material it must be complied with—if immaterial, that immateriality may be inquired into and shown; but that if there is a warranty, it is part of the contract that the matter is such as it is represented to be. Therefore, the materiality or immateriality signifies nothing. The only question is as to the mere fact.

c. There is no remedy for breach

Once a warranty has been breached, it is irrelevant whether the warranty is later complied with. A breach of a warranty cannot be remedied: s 34(2) of the Act confirms that 'where a warranty is broken, the assured cannot avail himself of the defence that the breach has been remedied...'. Such were the circumstances in *Forshaw v Chabert*, below.

Forshaw v Chabert (1821) 3 Br&B 159

The vessel *Hope* and the goods aboard her were insured under a voyage policy of insurance at and from Cuba to Liverpool with the stipulation that the crew should consist of 10 men. However, when *Hope* sailed from Cuba, although there were 10 men aboard, two of those men were only contracted to sail as far as Jamaica, where they were replaced by another two. After leaving Jamaica, *Hope* was lost and the underwriters refused to indemnify the owners for the loss on the basis that they had breached the warranty of seaworthiness by sailing from Cuba with an insufficient crew.

The court ruled, reluctantly, in favour of the insurers. The plaintiff was in breach of the warranty when the ship sailed from Cuba and the fact that it was later remedied at Jamaica was immaterial.

Dallas CJ: [p 162] ...Now it is clear that a ship must be seaworthy when she sails; the assured warrants that, and whatever physical necessities may interpose, he is not allowed to deviate from the strict terms of his warranty...

d. There is no defence to the breach

A promissory warranty must be exactly complied with and any non-compliance, for whatever cause or reason, would constitute a breach. Furthermore, as s 34(1) will only excuse a breach on two grounds, namely 'by reason of a change of circumstances' and 'when compliance with the warranty is rendered unlawful by any subsequent law', it is implicit that there is no other defence available to the assured. The principle is also derived from the fact that a warranty is 'promissory' in nature: as the assured has undertaken that some particular thing 'shall' or 'shall not' be done, or that some condition 'shall' be fulfilled, he is expected not only to honour his promise to the letter, but also to honour them against all eventualities.⁴ The nature of a promissory warranty is such that it does not, in the event of a breach, easily lend itself to being forgiven.

The innocence of the assured is immaterial. This can be seen in *Douglas v Scougal* (1816) 4 Dow 269, where, in reference to the implied warranty of seaworthiness in a voyage policy, Lord Eldon remarked:

[p 276] ...It is not necessary to inquire whether the owners acted honestly and fairly in the transaction; for it is clear law that, however just and honest the intentions of the owner may be, if he is mistaken in the fact and the vessel is, in fact, not seaworthy, the underwriter is not liable.

e. It is a promissory condition precedent

Bank of Nova Scotia v Hellenic Mutual War Risks Association (Bermuda) Ltd, 'Good Luck' [1991] 2 Lloyd's Rep 191, HL

This was an incident which took place during hostilities between Iran and Iraq. *Good Luck* was one of a number of ships owned by the Good Faith Group which was insured with the defendant P & I Club under a war risks policy. The policy included a rule which specified that, should the vessel enter an additional premium area, the insurers should be given prompt notice. The rule further stated that failure to give the club notice of entering into a prohibited area would result in the rejection of all claims. *Good Luck* was mortgaged to the plaintiff bank who were assignees to the policy. The Club had signed a letter of understanding that it would, at all times, inform the bank should the insurance cover 'cease'. Both the Club and the bank knew that *Good Luck* was under charter to an Iranian company but, when the Club discovered that ships of the Good Faith Group were entering prohibited areas, they failed to inform the bank or deter the owners in their actions. When, therefore, *Good Luck* was struck by an Iraqi missile in the Persian Gulf and declared a constructive total loss, the P & I Club refused any indemnity because, they contended, they had been given no notification of the vessel's entry into an additional premium area. The plaintiff bank, in turn, sued the P & I Club for damages for failing to inform them that *Good Luck* had become uninsured. Their claim was premised on: (a) breach of the letter of undertaking given by the Club; (b) breach of a duty of utmost good faith in failing to disclose to the bank what they (the Club) knew; and (c) breach of the duty to speak.

To determine whether the Club had committed a breach of the letter of the undertaking, the court had to ascertain whether the policy had in fact 'ceased', for it was only upon the cessation of the cover that the duty to inform would arise. And to answer this question, it was necessary for the court to ascertain the precise effect of the breach of the warranty.

The House of Lords, in overturning the decision of the Court of Appeal and reinstating the decision of the trial judge, ruled that the P & I Club had failed in their duty to inform the bank that the insurance cover had 'ceased' due to the breach of the warranty. Lord Goff took the opportunity to clarify the status of a warranty and the effects of its breach.

"In policies of marine insurance, I think it is settled by authority that any statement of a fact bearing upon the risk introduced into the written policy is, by whatever words and in whatever place, to be construed as a warranty, and, prima facie, at least that the compliance with the warranty is a condition precedent to the attaching of the risk... if a promissory warranty is not complied with, the insurer is discharged from liability as from the date of the breach of warranty, for the simple reason that fulfilment of the warranty is a condition precedent to the liability or further liability of the insurer. This, moreover, reflects the fact that the rationale of warranties in insurance law is that the insurer only accepts the risk provided that the warranty is fulfilled."

Legal effects of a breach of warranty

Section 33(3) states that if a warranty is not exactly complied with, '...the insurer is discharged from liability as from the date of the breach of warranty, but without prejudice to any liability incurred by him before that date'. In the light of the *Good Luck* case, the word 'automatically' should now be read before the word 'discharged'.

That, after the breach of a promissory warranty, the insurer is automatically discharged from liability or further liability, was clearly illustrated by Lord Goff in the *Good Luck* case, cited above.

Lord Goff of Chieveley: [p 202] ...So it is laid down in s 33(3) that, subject to any express provision in the policy, the insurer is discharged from liability as from the date of the breach of warranty. Those words are clear. They show that discharge of the insurer from liability is *automatic* and is not dependent upon any decision by the insurer to treat the contract or the insurance as at an end... [Emphasis added.]

The insurer may waive the breach

Section 34(3) of the Act confirms that the insurer has the right to waive a breach of a warranty. But one may wish to ask the question as to whether it is still possible for an insurer to waive a breach of a warranty when he has, by reason of the breach, already been automatically discharged from liability or further liability as from the date of breach. This point arose as early 1874 in



Provincial Insurance Co of Canada v Leduc, below, where the precise inquiry was whether a waiver, by way of an acceptance of an abandonment, albeit a constructive acceptance, can be of any avail in the event of a breach of warranty which, at that time, was known to have had the effect of *terminating* the contract.⁹ The case is significant in its ruling that a waiver may take the form of an acceptance (actual or constructive) of an abandonment.

Provincial Insurance Co of Canada v Leduc (1874) LR 6 PC 224, PC

A schooner was lost when she entered the St Lawrence, a prohibited area. When the shipowner learned of the loss, a notice of abandonment was served on the insurers, who did not expressly accept the abandonment. In fact, the insurers sent their agent to the scene of the loss, who salvaged what he could of the cargo and carried out repairs to the vessel. The insurers then successfully claimed a salvage award against the schooner, which was sold on their behalf, but refused to indemnify the assured under the policy because of the breach of the warranty.

The court ruled that the insurers were liable under the policy, as they had constructively accepted the abandonment and, in so doing, waived the breach of the warranty.

3. CAUSATION

Section 55(1) of the Marine Insurance Act 1906 encapsulates the general rule of causation to be applied for the purpose of resolving disputes regarding the cause of loss. It states:

Subject to the provisions of this Act, and unless the policy otherwise provides, the insurer is liable for any loss proximately caused by a peril insured against, but, subject as aforesaid, he is not liable for any loss which is not proximately caused by a peril insured against.

It declares the principle that the liability of the insurer hinges upon the loss or damage being 'proximately' caused by a peril insured against. The general rule of *causa proxima, non remota, spectatur* is well established in insurance law, and unless this is complied with, the insurer bears no liability. It is, therefore, important that the meaning of the word 'proximate' be fully understood as it applies to marine insurance.

Though *causa proxima, non remota, spectatur* is the general principle to be observed, nevertheless, the opening words of the section allow exceptions to the rule. The phrase 'subject to the provisions of the Act' warns that the Act itself may depart from the maxim. This is evident, for example, in ss 39(5) and 55(2)(a), where the term 'attributable to' is employed. With regard to s 39(5), any loss 'attributable to' such unseaworthiness to which the assured is privy is not recoverable. Similarly, any loss or damage 'attributable to' the wilful misconduct of the assured is not recoverable under s 55(2)(a).

THE RULE OF PROXIMATE CAUSE

Webster's Comprehensive Dictionary of the English Language defines the meaning of the word 'proximate' as 'immediate'. It then defines 'immediate' as meaning 'closeness in time' or 'having a direct bearing'. Thus, the rule of proximate cause may be interpreted in two distinct and different ways, and this dilemma was reflected by the courts until 1918, when *Leyland Shipping Co Ltd v Norwich Union Fire Insurance Society Ltd* [1918] AC 350, HL (henceforth referred to as the *Leyland* case) was decided.

One school of thought which advocated that 'only the *causa proxima* or immediate cause of the loss must be regarded' was endorsed by the court in *Pink v Fleming* (1890) 25 QBD 396. It was thought that, as the test of the last event in the chain was well known, 'people must be taken to have contracted on that footing'. Another point of view was expressed by Lopes LJ, in *Reischer v Borwick* (1894) 2 QB 548, CA, and the relevant parts of his judgment are reproduced below. It is fair to say that the seeds of the current understanding of the rule of *causa proxima* were sown in this case.

Reischer v Borwick (1894) 2 QB 548, CA

The plaintiffs insured the paddle tug *Rosa* with the defendants under a policy of marine insurance which included cover for collision damage, but not for loss or damage caused by the perils of the seas. Whilst proceeding along the River Danube, *Rosa* collided with a floating snag, which fouled the port paddle wheel, causing considerable damage to the tug's machinery. This damage included a hole in the cover of the condenser, which allowed water to enter the tug. The captain anchored the tug and effected temporary repairs by plugging the condenser outlet pipes before calling for assistance. When another tug arrived and started towing *Rosa* towards the nearest dock, the plug in the condenser outlet on the port side fell out and the crew were unable to prevent the rush of water which then entered the tug through the hole in the condenser cover. In order to save lives, *Rosa* was beached and abandoned. The plaintiffs claimed damages for the total loss of the tug, but the defendants only agreed to indemnify the plaintiffs for the actual or immediate damage caused by the collision, and not for the subsequent loss.

The Court of Appeal upheld the decision of the trial judge and ruled in favour of the plaintiff owner of the tug. The collision remained the efficient and predominant cause of the loss of *Rosa*.

Lopes LJ: [p 552] ...In cases of marine insurance, it is well settled law that it is only the proximate cause that is to be regarded and all others rejected,

although the loss would not have happened without them. Damage received in collision must, therefore, in this case be the proximate cause of the loss to entitle the plaintiff to recover. The damage received in the collision was the breaking of the condenser, and it was the broken condenser which really caused the proximate loss. The tug was continuously in danger from the time the condenser was broken, and the broken condenser never ceased to be an imminent element of danger, though the danger was mitigated for a time by the insertion of the plug in the outside of the vessel. The cause of the damage to the condenser was the collision, and the consequences of the collision—that is, the broken condenser—never ceased to exist, but constantly remained the efficient and predominating peril to which the damage now sought to be recovered was attributable.

It was contended that the towing of the tug through the water after the collision was the proximate cause of the loss now sought to be recovered. It was, however, admitted that this was a reasonable and proper act in the circumstances. This may have been a concurrent cause, and one without which the loss would not have happened; but in my judgment it is not, but the broken condenser is, the proximate cause.

The *locus classicus* for the present rule of proximate cause is clearly the *Leyland* case, where the House of Lords approved the above decision in *Reischer Berwick*, and Lord Shaw of Dunfermline affirmed [p 369] that 'the caus which is truly proximate is that which is proximate in efficiency'.

SIKIA

4. Causa proximae:

The Assured can only recover for loss sustained if the loss is proximately caused by any of the perils insured against (S.55 of Marine Insurance Act). This is called the rule of *causa proximae*. The rule is to the effect that *causa proximae non remota spectator*, literally translated as the proximate or immediate and not the remote cause is to be looked to. If the proximate cause is a peril insured against, the Assured can recover the amount of loss from the insurer.

The question as to which is the *causa proximae* of a loss arises only when there is a succession of causes such that it is difficult to tell which of these actually caused the loss for which indemnification is sought. In insurance, law, the nearest cause of loss is considered even though the loss would not have occurred without the remote cause.

Note that a cause which is "proximate" does not refer to one which is "nearest in time" but that which is "proximate in efficiency" (i.e. that which immediately brings about occurrence of the loss).

The question as to whether the loss was caused by the peril insured against must be decided by an answer as to whether: *Pro does this mean that all perils must be rejected*

- a) The last of the successive causes happens to be the peril insured against. In this case loss is clearly caused by the peril insured against. There is then no necessity to enquire into the preceding causes and to ascertain which of them brought the peril into operation.

The peril insured against is not the last cause but a preceding cause. In this case, it is necessary to consider whether the last cause is so intimately or proximately connected either immediately or by transmission through a chain of events, with the preceding cause that the loss which is the effect of the last cause is nonetheless the effect of the preceding cause and is therefore within the policy as being caused by the peril insured against. It becomes in this case to pay regard to 2 cases. The first one is where there is no break in the sequence of events. In such a case, each cause is the reasonable and probable consequence directly and naturally resulting from the cause which it precedes and the peril insured against is the cause of the loss within the meaning of the policy. Thus by way of example, where an accidental fall is followed by disease which is either caused by the fall itself, the death of an assured though caused by disease is proximately caused by the accidental fall which is not necessarily the last in time. (Islitt V Rly Passenger's Assurance Co. (1889) 22 QBD 504) Again where a passenger is traveling by railway and is injured when he slips when getting out of a train, the proximate cause of the injury is the fact that he was traveling by train and such an accident therefore is a railway accident within the meaning of a policy against railway accidents. (Theobald V Railway Passenger's Assurance Co. (1854) 10 Exch. 45)

The second case is where the sequence of causes is interrupted by intervention of a fresh cause which is not the reasonable or probable consequence directly and naturally resulting from the peril insured against but is an independent cause. In this case the cause of the loss within the meaning of the policy is not the peril insured against but the intervening cause. In Islitt v Rly Passenger's Assurance (supra), a person weakened by a railway accident was run over in the street by a bus which owing to his weakness which had resulted from the railway accident he was unable to avoid. It was held that his death was due to a foreign and independent cause i.e. the street accident and not the original railway accident. ~~There was a break in the chain of events.~~ The causes are concurrent (and not successive) in their operation and continue to operate on the subject matter of insurance until they cause loss, the loss is attributable to one cause as much as to the other. Thus in Reynolds V Accidental Insurance Co. (1870) 22 LT 820, where the assured was drowned while bathing, it was held that his death was caused by accident and it was immaterial that he

fell into the water in a fainting fit and that the water into which he fell was so shallow that he could not have drowned if he had not remained unconscious.

Because of the same rule, it is important in all cases to see if the loss has been caused by the peril or risk insured against. The peril causing the loss must be the one for which the policy was taken out. It must fall within the ambit of the policy for the right of indemnification to arise. Thus in Dino Services Ltd V Prudential Assurance Co. (1989) 1 ALL ER 421, the assured took out property insurance against loss or damage from theft involving 'forcible and violent' means of entry to premises. Thieves stole keys to the premises and entered by using normal keys to unlock the doors. No physical damage was caused to the lock or doors. It was held that in context of a policy of insurance against theft from premises by 'forcible and violent' means of entry, the word 'violent' was to be construed according to its ordinary meaning and meant entry by use of any force which was accentuated or accompanied by a physical act which could properly be described as violent in nature and character. The plaintiff's loss in this case was not covered by the policy for him to recover. *→ he didn't recover*

Further Illustrations:

(i) In Pink V Fleming (1899) 22 Q.B.D. 396, the assured had taken out an insurance against collision of a ship. A ship carrying a cargo of oranges collided with another ship. As a result of collision, cargo was mishandled and some delay was thereby occasioned. The cargo consequently deteriorated. It was held that damage to the cargo was not the direct result of collision but of the delay and mishandling, and as a result the Assured could not recover for the loss sustained.

(ii) In Hamilton Fraser & Co. V Pandorf (1887) 12 A.C. 518, a cargo of rice in a ship was destroyed by sea-water flowing in the ship through a hole made by rats in a bathroom lead pipe. The court had to determine whether the loss was one which would properly fall within 'perils of the sea'. It was held that the underwriter was liable as the damage was due to a peril of the sea. The proximate cause of the damage in this case was sea-water (which is a peril of the sea, a causality of the sea). If however the loss was caused directly by rats or vermin, the underwriter would not be liable. ("Vermin" are small insects and animals which are harmful and difficult to control when they appear in large numbers.) According to Lord Watson "where a cargo of rice is directly injured by rats or the crew of the vessel, the sea has no share in producing the damage which in that case is wholly due to a risk not peculiar to the sea... But in the case where rats make a hole or where one of the

crew leaves a porthole open through which the sea enters and injures cargo, the sea is the immediate cause of mischief and it would afford no answer to the claim of the insured to say that has ordinary precaution been taken to keep down vermin or had careful hands been employed, the sea would not have been admitted and there would have been no consequent damage".

In Taylor V Dunbar (1869) 4 P.C. 206, a ship carrying meat was delayed by a storm in consequence of which the meat became decomposed and had to be thrown overboard. It was held that the loss of meat was not a loss by perils of the sea.

In *Leyland Shipping Company Limited v Norwich Union Fire Insurance [1918] AC 350*, the concept of causation is explained thus:

To treat proxima causa as the cause which is nearest in time is out of the question. Causes are spoken of as if they were as distinct from one another as beads in a row or links in a chain, but - if this metaphysical topic has to be referred to - it is not wholly so. The chain of causation is a handy expression, but the figure is inadequate. Causation is not a chain, but a net. At each point influences, forces, events, precedent and simultaneous, meet, and the radiation from each point extends infinitely. At the point where these various influences meet it is for the judgment as upon a matter of fact to declare which of the causes thus joined at the point of effect was the proximate and which was the remote cause.

What does "proximate" here mean? To treat proximate cause as if it was the cause which is proximate in time is, as I have said, out of the question. The cause which is truly proximate is that which is proximate in efficiency. That efficiency may have been preserved although other causes may meantime have sprung up which have yet not destroyed it, or truly impaired it, and it may culminate in a result of which it still remains the real efficient cause to which the event can be ascribed.

In this case, a ship – the *Ikaria* - was insured against (amongst other things) perils of the sea by a time policy containing a warranty against all consequences of hostilities. The ship, while on a voyage from South America to Havre, was torpedoed by a German submarine twenty-five miles from Havre. The torpedo struck her well forward and she began to settle down by the head, but with the aid of tugs she reached Havre on the evening of the same day, when she was taken alongside a quay in the outer harbour. A gale sprang up, causing her to bump against the quay, and the harbour authorities fearing that she would sink and block the quay, ordered her to a berth inside the outer breakwater, where she was moored. She remained there for two days, taking the ground at each ebb tide, but floating again with the flood, and finally her bulkheads gave way, and she sank and became a total loss.

The ship-owners brought an action on the policy claiming to recover as for a loss by perils of the sea:-

Court held that the grounding was not a *novus causa interveniens*, and that the torpedoing was the proximate cause of the loss; and consequently – the underwriters were protected by the warranty against all consequences of hostilities.

TWO OR MORE PROXIMATE CAUSES OF LOSS

Proximate causes of equal efficiency

The following case, *Heskell v Continental Express*, although a carriage of goods by sea case, graphically illustrates that it is possible to have more than one proximate cause of loss of equal efficiency: in this case, one cause being the initial breach of contract and the other, an intervening act by another party.

Heskell v Continental Express and Another [1950] 1 All ER 1033

The plaintiff, an export and shipping merchant, sold three bales of poplin to a Persian buyer and instructed Continental Express, the company warehousing the goods at the time, to forward the bales of poplin to the

vessel *Mount Orford Park* at No 9 dock in the port of Manchester. This, Continental Express negligently failed to do. Strick Line Ltd, which had chartered *Mount Orford Park*, allocated space for the bales of poplin and, by their admitted carelessness, issued a bill of lading for the goods that were never actually received. The ship duly arrived in the Persian Gulf without the goods and it was only after a prolonged search that it was discovered that the goods had never been dispatched from the warehouse. It had been assumed, because of the presence of a bill of lading, that the goods had been shipped and then been lost or misdelivered. The plaintiff, who had made recompense to the Persian buyer, mostly for the loss in profit he would have made on the resale of the goods, then laid claim against the two defendants, Continental Express and Strick Line Ltd.

The court ruled that the plaintiff could not recover from Strick Line Ltd as there was no contractual relationship and the issuing of a bill of lading only amounted to a misstatement. However, damages were awarded against Continental Express for a breach of contract, but this only amounted to the fall in the market value during the period the goods were detained. On proximate cause of loss, the court was faced with the problem that the intervening act of the issuing of the bill of lading, and the initial failure of Continental Express to forward the goods to the ship, were equally operative causes of the loss.



Devlin J: [p 1047] ...There are many cases where a loss is foreseeable, but does not in fact occur, because some act intervenes, as a piece of good fortune for the wrongdoer, to prevent the natural and probable consequences of his wrong from operating. Likewise, the intervening act, while not destroying the wrong as a causative event, may contribute to the damage that occurs; the damage is then caused both by the wrong and by the intervening act. That is, I think, what happened here. The issue of the bill of lading could not extinguish the first defendant's breach of duty as a causative event; the breach being continuing is a continuous source of damage. But the two were equally operative causes, in that if either had ceased, the damage would have ceased. If Continental Express had done their duty by informing the plaintiff that they had the goods and by releasing them, the falsity of the bill of lading would have been discovered. Similarly, if it had not been for the false bill of lading and its continuing power of misleading those in whose hands it was, the non-delivery by Continental Express would at once have been discovered.

...It may be that the term 'a cause' is, whether in tort or in contract, not rightly used as a term of legal significance unless it denotes a cause of equal efficacy with one or more other causes. Whatever the true rule of causation may be, I am satisfied that if a breach of contract is one of two causes, both co-operating and both equal efficacy, as I find in this case, it is sufficient to carry judgment for damages. *Reischer v Berwick* establishes that for the purposes of a contract of insurance it is sufficient if an insured event is, in this sense, a co-operating cause of the loss...I think, therefore, that Continental Express are responsible in law for the damage which the plaintiff sustained by the fall in value of the goods over the whole period from November 1946 to March 1948.



4. THE EFFECT OF FRAUD ON AN INSURANCE CONTRACT
5. *A comparison between Global Process Systems Inc. v Syarikat Takaful Malaysia Bhd. (The Cendor MOPU) [2011] UKSC and The Financial Conduct Authority and Others v Arch Insurance (UK) Ltd and Others [2021] UKSC 1 (15th January 2021)*
6. “With the aid of decided cases, the principles of prudential management of Health Insurers... (question incomplete)
7. ROLE OF THE REGULATOR
8. THE PRINCIPLES GOVERNING INSOLVENCY OF INSURANCE COMPANIES (whether those principles have evolved in the wake of the COVID-19 pandemic)
9. The Law, Policy and Principles on Intermediaries in Uganda and whether it is in tandem with common law principles.

